

SONASELECTION INDIA LIMITED

(CIN : U17299RJ2022PLC079631)

Registered Office: 18Th K M Stone, Chittorgarh Road, Hamirgarh, Bhilwara, Bhilwara, Rajasthan, India, 311025

Annexure - I : Audited Consolidated Statement of Assets And Liabilities

(All amounts in ₹ Million, except as otherwise stated)

Particulars	Note No.	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
I. ASSETS				
Non-Current Assets				
(a) Property, Plant and Equipment	2	1,832.34	1,699.83	750.37
(b) Capital work-in-progress	3	-	95.56	725.72
(c) Other Intangible Assets	4	8.73	-	-
(d) Intangible Assets under development	5	-	6.40	-
(e) Financial Assets	6	8.95	7.57	10.12
(i) Others financial Assets		1,850.02	1,809.36	1,486.21
Total Non Current Assets				
Current Assets	7	1,538.53	970.76	190.69
(a) Inventories				
(b) Financial Assets	8	1,036.99	696.87	139.87
(i) Trade receivables	9	23.81	2.15	41.40
(ii) Cash and Cash equivalents	10	26.15	53.40	44.76
(iii) Bank balance other than (ii) above	11	274.35	184.56	128.40
(c) Other current assets	29	-	30.57	3.62
(d) Income Tax Assets (Net)		2,899.83	1,938.31	548.74
Total Current Assets				
		4,749.85	3,747.67	2,034.95
TOTAL ASSETS				

II. EQUITY AND LIABILITIES

Equity	12	425.29	158.74	31.00
(a) Share capital	13	616.34	541.97	357.81
(b) Other Equity		1,041.63	700.71	388.81
Total Equity				

LIABILITIES

Non-Current Liabilities

(a) Financial Liabilities	14	1,263.39	1,307.72	1,117.60
(i) Borrowings	15	22.31	14.76	8.30
(b) Provisions	16	150.22	127.31	72.92
(c) Deferred tax liabilities (net)		1,435.92	1,449.79	1,198.82
Total Non-Current Liabilities				

Current liabilities

(a) Financial Liabilities	17	1,319.01	766.25	328.42
(i) Borrowings				
(ii) Trade payables		7.32	7.66	8.17
(a) Total outstanding dues of micro enterprises and small enterprises	18	805.10	734.76	69.96
(b) Total outstanding dues of creditors other than micro enterprises and small enterprises	18			



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Annexure - I : Audited Consolidated Statement of Assets And Liabilities

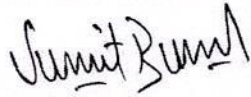
(All amounts in ₹ Million, except as otherwise stated)

Particulars	Note No.	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
(iii) Other Financial Liabilities	19A	111.47	80.35	36.52
(b) Other Current Liabilities	19B	6.67	7.82	4.03
(c) Provisions	15	1.92	0.33	0.22
(d) Current Tax Liabilities (Net)	29	20.81	-	-
Total Current Liabilities		2,272.30	1,597.17	447.32
Total Liabilities		3,708.22	3,046.96	1,646.14
TOTAL EQUITY & LIABILITIES		4,749.85	3,747.67	2,034.95

Summary of Material Accounting Policies

The notes referred to above form an integral part of the consolidated financials Statements

As per our report of even date attached.

For Pokharna Somani & Associates
Chartered Accountants

Sumit Bumb

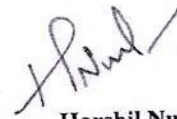
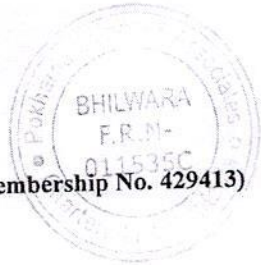
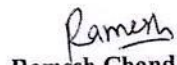
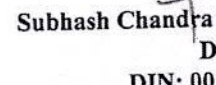
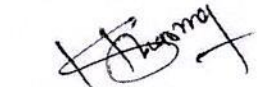
Partner

(Firm Regn No.011535C/Membership No. 429413)

Place: Bhilwara

Date : 10.08.2026

UDIN : 26429413URBSDR3024

Harshil Nuwal
Managing Director
DIN: 01474313
Ramesh Chandra Vyas
Chief Financial Officer
PAN : AGPPV5302BFor and on behalf of Board of Directors
Sonaselection India Limited
Subhash Chandra Nuwal
Director
DIN: 00104154
Harish Sharma
Company Secretary
PAN : DLYPS9815R

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(CIN : U17299RJ2022PLC079631)
Registered Office: 18Th K M Stone, Chittorgarh Road, Hamirgarh, Bhilwara, Rajasthan, India, 311025
Annexure - II : Audited Consolidated Statement of Profit And Loss (Including Other Comprehensive Income)
(All amounts in ₹ Million, except as otherwise stated)

Particulars	Note No.	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
I. Revenue from Operations	20	5,169.49	3,159.52	1,209.79
II. Other Income	21	6.47	5.14	3.31
III. Total Income (I+II)		5,175.96	3,164.66	1,213.10
IV. EXPENSES				
Cost of Materials Consumed	22	3,060.95	2,177.82	529.43
Purchase of Stock-in-Trade	23	78.97	14.60	5.36
Changes in Inventories of Finished Goods, Work-in-Progress and Stock-in-Trade	24	(81.93)	(345.46)	(52.03)
Employee Benefit Expenses	25	483.70	356.30	203.45
Finance Costs	26	176.89	147.25	47.45
Depreciation and Amortization Expenses	27	190.33	173.14	67.97
Other Expenses	28	786.53	380.21	242.02
Total Expenses		4,695.44	2,903.86	1,043.65
V. Audited Profit / (Loss) Before Exceptional and Extraordinary items and Tax (III-IV)		480.52	260.80	169.45
VI. Exceptional Items		-	-	-
VII. Audited Profit / (Loss) Before Extraordinary items and Tax (V-VI)		480.52	260.80	169.45
VIII. Extraordinary items		-	-	-
IX. Audited Profit / (Loss) Before Tax (VII-VIII)		480.52	260.80	169.45
X. Tax Expenses				
Current Tax	29	91.38	45.74	29.90
Less : MAT Credit (Entitlement) / utilised	29	26.28	(24.85)	(1.43)
Deferred Tax Expenses	16	22.63	54.28	10.03
Total Tax Expenses (X)		140.29	75.17	38.50
XI. Profit for the year (IX-X)		340.23	185.63	130.95
XII. Other Comprehensive Income [OCI]				
(i) Items that will not be reclassified to profit or loss	29			
Adjustment due to Actuarial Gain / (Loss) recognised in OCI		0.97	0.37	(0.81)
Income tax relating to items that will not be reclassified to profit or loss		(0.28)	(0.11)	0.24



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Annexure - II : Audited Consolidated Statement of Profit And Loss (Including Other Comprehensive Income)

(All amounts in ₹ Million, except as otherwise stated)

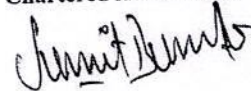
Particulars	Note No.	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
(ii) Items that will be reclassified to profit or loss				
Adjustment due to items that will be reclassified to profit or loss		-	-	-
Income tax relating to items that will be reclassified to profit or loss		-	-	-
Other Comprehensive Income [OCI] (XII)		0.69	0.26	(0.57)
XIII. Total Comprehensive Income for the year (XI+XII)		340.92	185.89	130.38

Earning per equity share of face value of Rs. 10 Each	31			
Basic		8.09	4.57	3.25
Diluted		8.09	4.49	3.25

Summary of Material Accounting Policies

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As per our report of even date attached.

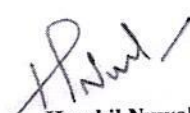
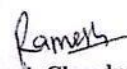
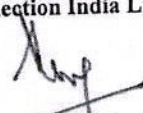
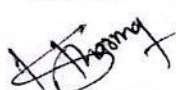
For Pokharna Somani & Associates
Chartered AccountantsSumit Bumb
Partner

(Firm Regn No.011535C/Membership No. 429413)

Place: Bhilwara

Date : 10.08.2026

UDIN : 26429413URBSDR3024


Harshil Nuwal
Managing Director
DIN: 01474313
Ramesh Chandra Vyas
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PAN : AGPPV5302BFor and on behalf of Board of Directors
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Annexure - III : Audited Consolidated Statement of Cash Flows
(All amounts in ₹ Million, except as otherwise stated)

Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
A. Cash flow from operating activities			
Net Profit before Taxation and Extra-ordinary items	480.52	260.80	169.45
Adjustments for:			
Depreciation and Amortisation	190.33	173.14	67.97
Loss on sale of Property, Plant and Equipment	-	-	-
Employee Retirement Benefits	10.31	6.94	4.52
Finance Cost	176.89	147.25	47.45
Interest income	(2.37)	(3.30)	(1.80)
Operating profit / (loss) before working capital changes	855.68	584.83	287.59
Changes in working capital:			
(Increase)/Decrease in Others financial Assets	(1.38)	2.55	(4.86)
(Increase)/Decrease in Inventories	(567.77)	(780.07)	(44.53)
(Increase)/Decrease in Trade receivables	(340.12)	(557.00)	8.77
(Increase)/Decrease in Other Current Assets	(89.79)	(56.16)	(53.69)
Increase/(Decrease) in Trade payables	70.00	664.29	2.01
Increase/(Decrease) in Other Financial Liabilities	31.12	43.83	15.20
Increase/(Decrease) in Other Current Liabilities	(1.15)	3.79	1.66
Employee Retirement Benefits (Gratuity) Paid	(0.20)	-	-
Cash generated from operations	(43.61)	(93.94)	212.15
Net income tax (paid) / refund	(66.28)	(47.83)	(36.07)
Net cash flow from / (used in) operating activities (A)	(109.89)	(141.77)	176.08
B. Cash flow from investing activities			
Capital expenditure on Tangible fixed assets including	(225.64)	(492.44)	(1,052.94)
Capital expenditure on Intangible fixed assets including	(3.97)	(6.41)	-
intangible assets under development	-	-	-
Sale / Transfer of fixed assets	27.25	(8.64)	(30.06)
Redemption/(Investment) in Fixed Deposits	2.37	3.30	1.80
Interest received	(199.99)	(504.19)	(1,081.20)
Net cash flow from / (used in) investing activities (B)			
C. Cash flow from financing activities			
Proceeds/(Repayment) from Short-term borrowings	485.61	353.52	83.60
Proceeds/(Repayment) from Long-term borrowings	22.82	274.43	910.35
(including current maturities)	-	71.01	-
Proceeds/(Repayment) from Compulsorily Convertible	-	-	-
Debentures	-	55.00	-
Equity Shares issued (including Security Premium)	(176.89)	(147.25)	(47.45)
Finance cost	331.54	606.71	946.50
Net cash flow from / (used in) financing activities (C)			
Net increase / (decrease) in cash and cash equivalents (A+B+C)	21.66	(39.25)	41.38
Cash and cash equivalents at the beginning of the year	2.15	41.40	0.02
Cash and cash equivalents at the end of the year	23.81	2.15	41.40
Reconciliation of Cash and cash equivalents with the			
Cash and cash equivalents as per Balance Sheet	23.81	2.15	41.40

Components of Cash & Cash Equivalents

Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
Cash on Hand	0.26	0.02	0.30
Balance with Banks in Current Accounts	23.55	2.13	41.10
Total	23.81	2.15	41.40



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Reconciliation of Liabilities arising from Financing Activities - For the year April 2025- March 2026

Particulars	Opening Balance	Non-Cash Flows	Cash Flows	Closing Balance
Long-term Borrowings - secured (including current maturities)	1,303.63	-	40.32	1,343.95
Short-term Borrowings - secured	592.94	-	485.61	1,078.55
Long-term Borrowings - unsecured	177.40	-	(17.50)	159.90
Compulsorily Convertible Debentures	71.01	(71.01)	-	-
Total financial liabilities	2,144.98	(71.01)	508.43	2,582.40

Reconciliation of Liabilities arising from Financing Activities - For the year April 2024- March 2025

Particulars	Opening Balance	Non-Cash Flows	Cash Flows	Closing Balance
Long-term Borrowings - secured (including current maturities)	1,008.50	-	295.13	1,303.63
Short-term Borrowings - secured	239.42	-	353.52	592.94
Long-term Borrowings - unsecured	198.10	-	(20.70)	177.40
Compulsorily Convertible Debentures**	-	-	71.01	71.01
Total financial liabilities	1,446.02	-	698.96	2,144.98

** Total liabilities arising from financing activities includes Compulsorily Convertible Debentures (CCDs) of Rs. 71.01 Millions. These CCDs are classified wholly as equity under Ind AS 32 and are presented within 'Other Equity' on the Balance Sheet. Excluding CCDs, the closing balance of financial liabilities stands at 2,073.97 Millions which perfectly reconciles with Total Borrowings on the Balance Sheet and the Capital Management disclosures in Note 36.

Reconciliation of Liabilities arising from Financing Activities - For the year April 2023- March 2024

Particulars	Opening Balance	Non-Cash Flows	Cash Flows	Closing Balance
Long-term Borrowings - secured (including current maturities)	296.25	-	712.25	1,008.50
Short-term Borrowings - secured	155.82	-	83.60	239.42
Long-term Borrowings - unsecured	-	-	198.10	198.10
Total financial liabilities	452.07	-	993.95	1,446.02

Note:1 The Statement of Cash Flows has been prepared under the "Indirect Method" as set out in Ind AS - 7 "Statement of Cash Flows".
Note-2: Previous Year's figures have been recasted/regrouped, wherever necessary, to conform to the current year's figures.

Summary of Material Accounting Policies

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As per our report of even date attached.

For Pokharna Somani & Associates
Chartered Accountants

Sumit Bumb

Sumit Bumb
Partner

(Firm Regn No.011535C/Membership No. 429413)

Place: Bhilwara

Date : 10.08.2026

UDIN : 26429413URBSDR3024



Harshil Nuwal

Harshil Nuwal
Managing Director
DIN: 01474313

Ramesh

Ramesh Chandra Vyas
Chief Financial Officer
PAN : AGPPV5302B

For and on behalf of Board of Directors
Sonaselection India Limited

Subhash Chandra Nuwal

Subhash Chandra Nuwal
Director
DIN: 00104154

Harish Sharma

Harish Sharma
Company Secretary
PAN : DLYPS9815R



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Annexure - IV : Audited Consolidated Statement of Changes in Equity
(All amounts in ₹ Million, except as otherwise stated)

(A) Equity share capital	31st March 2026		31st March 2025		31st March 2024	
	No. of shares*	Amount	No. of shares*	Amount	No. of shares*	Amount
Balance at the beginning of the year	15,874,145	158.74	3,100,000	31.00	3,100,000	31.00
Changes in Equity share capital during the year	26,654,536	266.55	12,774,145	127.74	-	-
Balance at the end of the year	42,528,681	425.29	15,874,145	158.74	3,100,000	31.00

* In absolute numbers

(B) Other Equity
1. Year ending on 31st March, 2026

Particulars	Reserves and Surplus			Equity component of CCDs	Total Equity
	Securities Premium	Retained Earnings	Capital Reserve		
Balance at the beginning of the year	51.26	340.96	78.74	71.01	541.97
Add : Profit / (Loss) for the year as per Statement of Profit and Loss	-	340.23	-	-	340.23
Add : Other comprehensive income for the year as per Statement of Profit and Loss	-	0.69	-	-	0.69
Add : Equity share issue during the year	66.17	-	-	-	66.17
Less : Utilised against issue of bonus shares	(117.43)	(144.28)	-	-	(261.71)
Less : Conversion of Compulsorily Convertible Debenture	-	-	-	(71.01)	(71.01)
Balance at the end of the year	-	537.60	78.74	-	616.34

2. Year ending on 31st March 2025

Particulars	Reserves and Surplus			Equity component of CCDs	Total Equity
	Securities Premium	Retained Earnings	Capital Reserve		
Balance at the beginning of the year	123.60	155.47	78.74	-	357.81
Add : Profit / (Loss) for the year as per Statement of Profit and Loss	-	185.63	-	-	185.63
Add : Equity share issue during the year	51.26	-	-	-	51.26
Add : Other comprehensive income for the year as per Statement of profit and Loss	-	0.26	-	-	0.26
Less : Utilised against issue of bonus shares	(123.60)	(0.40)	-	-	(124.00)
Add : Issue of Compulsorily Convertible Debenture	-	-	-	71.01	71.01
Balance at the end of the year	51.26	340.96	78.74	71.01	541.97

3. Year ending on 31st March 2024

Particulars	Reserves and Surplus			Equity component of CCDs	Total Equity
	Securities Premium	Retained Earnings	Capital Reserve		
Balance at the beginning of the year	123.60	25.09	78.74	-	227.43
Add : Profit / (Loss) for the year as per Statement of Profit and Loss	-	130.95	-	-	130.95
Add : Other comprehensive income for the year as per Statement of profit and Loss	-	(0.57)	-	-	(0.57)
Less : Utilised against issue of bonus shares	-	-	-	-	-
Add : Issue of Compulsorily Convertible Debenture	-	-	-	-	-
Balance at the end of the year	123.60	155.47	78.74	-	357.81

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For Pokharna Somani & Associates
Chartered Accountants

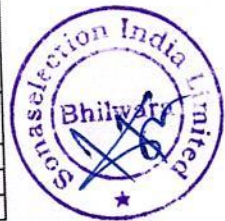
Sumit Bumb
Partner
(Firm Regn No.011535C/Membership No. 429413)
Place: Bhilwara
Date : 10.08.2026
UDIN : 26429413URBSDR3024

For and on behalf of Board of Directors
Sonaselection India Limited

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Managing Director
DIN: 01474313

Ramesh
Ramesh Chandra Vyas
Chief Financial Officer
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Annexure - V : Summary of material accounting policies and explanatory notes forming part of Audited Consolidated Financial Information**1. Corporate Overview**

Sonaselection India Limited (the "Holding Company"), incorporated on 11th February, 2022, is a Company domiciled in India and limited by shares (CIN: U17299RJ2022PLC079631). The address of the Company's Registered Office and Plant location situated at 18th K.M. Stone, Chittorgarh Road, Hamirgarh, Bhilwara, Rajasthan, India, 311025. The company is engaged in manufacturing and processing of all type of textile fabrics.

On 01st July 2025, Sonaselection India Limited has incorporated a wholly owned subsidiary company, sionnah Enterprises Private Limited ("SEPL") which is in the business of selling of ready made garments product.

The holding company has a wholly owned subsidiary company (hereinafter collectively called "the group" or "the Company") and accordingly these consolidated financial statements have been prepared by the group consisting of accounts of the parent and its wholly owned subsidiary.

1.2 Basis of Accounting

The notes including significant policies to the Audited Consolidated Financial Statements are intended to serve as a guide for better understanding of the Group's position. In this respect, the Company has disclosed such notes and policies which represent the required disclosure.

The list of subsidiaries included in the Audited Consolidated Financial Statements are as under:

Name of subsidiary company	Country of Incorporation	Proportion of ownership interest and voting power (%)
Sionnah Enterprises Private Limited	India	100%

Other Equity shown in the Audited Consolidated Balance Sheet and profit in the Audited Consolidated Statement of Profit & Loss, Other Comprehensive income, Total Comprehensive income is after setting off the Group's share in the loss of the wholly owned subsidiary.

1.3 Principles Of Consolidation

The Audited Consolidated Financial Statements incorporate the financial statements of the Parent Company and its wholly owned subsidiary. For this purpose, an entity which is, directly or indirectly, controlled by the Parent Company is treated as a subsidiary. The Parent Company together with its subsidiary constitutes the Group. Control exists when the Parent Company, directly or indirectly, has power over the investee, is exposed to variable returns from its involvement with the investee and has the ability to use its power to affect its returns.

Consolidation of a subsidiary begins when the Parent Company, directly or indirectly, obtains control over the subsidiary and ceases when the Parent Company, directly or indirectly, loses control of the subsidiary. Income and expenses of a subsidiary acquired or disposed off during the year are included in the Audited Consolidated Statement of Profit and Loss from the date the Parent Company, directly or indirectly, gains control until the date when the Parent Company, directly or indirectly, ceases to control the subsidiary.

The Audited Consolidated Financial Statements of the Group combine financial statements of the Parent Company and its subsidiary line-by-line by adding together the like items of assets, liabilities, income and expenses. All intra-group assets, liabilities, income, expenses and unrealised profits/losses on intra-group transactions are eliminated on consolidation. The accounting policies of subsidiary have been harmonised to ensure the consistency with the policies adopted by the Parent Company. The Audited Consolidated Financial Statements have been presented to the extent possible, in the same manner as Parent Company's standalone financial statements.

Profit or Loss and each component of other comprehensive income are attributed to the owners of the Parent Company.

The gains/losses in respect of part divestment/ dilution of stake in subsidiary companies not resulting in ceding of control are recognised directly in other equity attributable to the owners of the Parent Company.

1.4. Basis of Preparation of Audited Consolidated Financial Statement

The Audited Consolidated Financial Statement comprises of:
Audited consolidated Statement of Assets and Liabilities of the Company for the financial year ended on 31st March, 2026, 31st March, 2025 and 31st March, 2024, the Audited consolidated Statement of Profit and Loss (including Other Comprehensive Income/Loss), Audited consolidated Statement of Changes in Equity and the Audited consolidated Statement of Cash Flows for the financial year ended on 31st March, 2026, 31st March, 2025 and 31st March, 2024, and the summary of material accounting policies and explanatory notes (collectively "the Audited consolidated Financial Information");

These Audited Consolidated Financial Information have been prepared by the management as required under the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, as amended ("ICDR Regulations") issued by the Securities and Exchange Board of India ("SEBI"), in pursuance of the Securities and Exchange Board of India Act, 1992, for the purpose of inclusion in the Red Herring Prospectus ("RHP") in connection with the proposed initial public offering of equity shares of face value of Rs. 10 each of the Company (the "Issue"), in terms of the requirements of

1. Section 26 of Part I of Chapter III of the Companies Act, 2013 (the "Act");
2. The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 as amended;
3. The Guidance Note on Reports in Company Prospectuses (Revised 2019) issued by the Institute of Chartered Accountants of India (ICAI) (the "Guidance Note").

The Audited Consolidated Financial Information also complies in all material aspects with Indian Accounting Standards ("Ind AS") notified under Section 133 of the Act read with Companies (Indian Accounting Standards) Rules, 2015 (as amended) and other relevant provisions of the Act.

The Audited Consolidated Financial Information have been prepared on accrual and going concern basis. The accounting policies have been consistently applied by the Holding Company in preparation of the Audited Consolidated Financial Information and are consistent with those adopted in the preparation of the Consolidated Financial Statements as at and for the year ended 31 March 2026.

1.5. Basis of Measurement/Use of Estimates and judgements

(i) The Consolidate Financial Statements are prepared on Accrual basis under the Historical Cost convention except certain Financial Assets and Liabilities (including Derivatives instruments) that are measured at fair value. Historical Cost is generally based on the Fair Value of the consideration given in exchange for goods and services. Fair Value is the price that would be received to sell an asset or paid to transfer a Liability in an orderly transaction between market participants at the measurement date.

(ii) The preparation of Consolidate Financial Statements requires judgments, estimates and assumptions that affect the reported amount of Assets and Liabilities, disclosure of Contingent Liabilities on the date of the Financial Statements and the reported amount of Revenues and Expenses during the reporting year. Difference between the actual results and estimates are recognized in the year in which the results are known/materialized.

1.6. Functional and Presentation Currency

These Financial Statements are presented in Indian Rupees (INR), which is the Company's functional currency. All financial information presented in INR has been rounded to the nearest Million (up to two decimals), except as stated otherwise.

1.7. Current and Non-Current classification

The Company presents Assets and Liabilities in the Balance Sheet based on Current/Non-Current classification.
An Asset is Current when it is:



Expected to be realised or intended to be sold or consumed in normal operating cycle;
Held primarily for the purpose of trading;
Expected to be realised within twelve months after the reporting year, or
Cash or Cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting year.

All other assets are classified as Non-Current.

An Liability is Current when:

- It is expected to be settled in normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within twelve months after the reporting year, or
- There is no unconditional right to defer settlement of the liability for at least twelve months after the reporting year.

All other Liabilities are classified as Non-Current. Deferred Tax Assets/Liabilities are classified as Non-Current.

C. Material Accounting Policies

A summary of the material Accounting Policies applied in the preparation of the Consolidate Financial Statements are as given below. These Accounting Policies have been applied consistently to all years presented in the Consolidate Financial Statements.

1. Property, Plant & Equipment

1.1. Initial Recognition and Measurement

An item of Property, Plant and Equipment is recognized as an Asset if and only if it is probable that future economic benefits associated with the item will flow to the company and the cost of the item can be measured reliably.

Items of Property, Plant and Equipment are measured at Cost less Accumulated Depreciation/Amortization and Accumulated impairment losses. Cost includes expenditure that is directly attributable to bringing the asset, inclusive of non-refundable taxes & duties, to the location and condition necessary for it to be capable of operating in the manner intended by management.

When parts of an item of property, plant and equipment have different useful lives, they are recognized separately.

Items of spare parts, stand-by equipment and servicing equipment which meet the definition of Property, Plant and Equipment are capitalized.

1.2. Subsequent Costs

Subsequent expenditure is recognized as an increase in the carrying amount of the asset when it is probable that future economic benefits deriving from the cost incurred will flow to the enterprise and the cost of the item can be measured reliably.

The cost of replacing part of an item of Property, Plant and Equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The carrying amount of the replaced part is derecognized. The costs of the day-to-day servicing of Property, Plant and Equipment are recognized in Statement of Profit or Loss as and when incurred.

1.3. Derecognition

Property, Plant and Equipment are derecognized when no future economic benefits are expected from their use or upon their disposal. Gains and Losses on disposal of an item of Property, Plant and Equipment are determined by comparing the proceeds from disposal with the carrying amount of Property, Plant and Equipment, and are recognized in the Statement of Profit and Loss.

1.4. Depreciation

Assets are depreciated using straight line method over the estimated useful life of the asset as specified in Part "C" of Schedule II of Companies Act, 2013 after retaining residual life of 5% of original cost. Assets residual values and useful lives are reviewed at each financial year end considering the physical condition of the assets.

Depreciation on additions to/deductions from Property, Plant & Equipment during the year is charged on pro-rata basis from/up to the date on which the asset is available for use/disposed.

Where it is probable that future economic benefits deriving from the cost incurred will flow to the enterprise and the cost of the item can be measured reliably, subsequent expenditure on a PPE along-with its unamortized depreciable amount is charged off prospectively over the revised useful life determined by technical assessment.

In circumstance, where a property is abandoned, the cumulative capitalized costs relating to the property are written off in the same year.

2. Capital Work-in-Progress

The cost of self-constructed assets includes the cost of materials & direct labour, any other costs directly attributable to bringing the assets to the location and condition necessary for it to be capable of operating in the manner intended by management and borrowing costs.

Expenses directly attributable to construction of property, plant and equipment incurred till they are ready for their intended use are identified and allocated on a systematic basis on the cost of related assets.

3. Intangible Assets and Intangible Assets under Development

3.1. Initial recognition and measurement

An Intangible Asset is recognized if and only if it is probable that the expected future economic benefits that are attributable to the asset will flow to the company and the cost of the asset can be measured reliably.

Intangible assets that are acquired by the Company, which have finite useful lives, are recognized at cost. Subsequent measurement is done at cost less accumulated amortization and accumulated impairment losses. Cost includes any directly attributable incidental expenses necessary to make the assets ready for its intended use.

Expenditure on development activities is capitalized only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable and the Company intends to and has sufficient resources to complete development and to use or sell the asset.

Expenditure incurred which are eligible for capitalizations under intangible assets are carried as intangible assets under development till they are ready for their intended use.

3.2. Subsequent Costs

Subsequent expenditure is recognized as an increase in the carrying amount of the asset when it is probable that future economic benefits deriving from the cost incurred will flow to the enterprise and the cost of the item can be measured reliably.

3.3. Derecognition

An Intangible Asset is derecognized when no future economic benefits are expected from their use or upon their disposal. Gains and Losses on disposal of an item of Intangible Assets are determined by comparing the proceeds from disposal with the carrying amount of Intangible Assets and are recognized in the Statement of Profit and Loss.

3.4. Amortization

Intangible Assets having definite life is amortized on straight line method in their useful lives. Useful life of Computer Software is estimated at five years.



4. Borrowing Cost

Borrowing costs that are directly attributable to the acquisition, construction, exploration, development or erection of qualifying assets are capitalized as part of cost of such asset until such time the assets are substantially ready for their intended use. Qualifying assets are assets which take a substantial year of time to get ready for their intended use or sale. Capitalization of borrowing costs ceases when substantially all the activities necessary to prepare the qualifying assets for their intended uses are complete. Borrowing costs consist of:

- interest expense calculated using the effective interest method as described in Ind AS 109 - 'Financial Instruments',
- finance charges in respect of finance leases recognized in accordance with Ind AS 116 - 'Leases'
- exchange differences arising from foreign currency borrowings to the extent that they are regarded as an adjustment to interest costs and,
- other costs that an entity incurs in connection with the borrowing of funds. Income earned on temporary investment of the borrowings pending their expenditure on the qualifying assets is deducted from the borrowing costs eligible for capitalization.

All other borrowing costs are charged to revenue as and when incurred.

5. Statement of Cash Flows

Cash Flow Statement has been prepared in accordance with the Indirect method prescribed in Ind AS 7 'Statement of Cash Flows'.

6. Inventories

Inventories are valued at the lower of cost and net realisable value. Cost includes cost of purchase, cost of conversion and other costs incurred in bringing the inventories to their present location and condition. Costs of purchased inventory are determined after deducting rebates and discounts. Net realisable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

Spare parts other than those capitalized as Property, Plant and Equipment are carried as inventory.

The diminution in the value of obsolete, unserviceable and surplus stores & spares is ascertained on review and provided for.

7. Cash and Cash Equivalent

Cash and cash equivalent in the Balance Sheet comprises Cash at Banks, Cash on Hand and Short Term Deposits with an original maturity of three months or less, which are subject to insignificant risk of change in value

8. Government Grants

Government grants are recognized where there is a reasonable assurance that the grant will be received and the Company will comply with all attached conditions. When the government grant relates to an asset, the asset is disclosed by deducting that grant in arriving at the carrying amount of that asset. Government grants that compensate the Company for expenses incurred are recognized in the statement of profit and loss, as income or deduction from the relevant expense, on a systematic basis in the years in which the expense is recognized.

9. Provisions, Contingent Liabilities and Contingent Assets

A provision is recognized if, as a result of a past event, the Company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

The amount recognized as a provision is the best estimate of the consideration required to settle the present obligation at reporting date, taking into account the risks and uncertainties surrounding the obligation.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, the receivable is recognized as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably. The expense relating to a provision is presented in the statement of profit and loss net of any reimbursement.

Contingent Liabilities

Contingent Liabilities are possible obligations that arise from past events and whose existence will only be confirmed by the occurrence or non-occurrence of one or more future events not wholly within the control of the Company. Where it is not probable that an outflow of economic benefits will be required, or the amount cannot be estimated reliably, the obligation is disclosed as a Contingent Liability, unless the probability of outflow of economic benefits is remote. Contingent Liabilities are disclosed on the basis of judgment of the management/independent experts. These are reviewed at each balance sheet date and are adjusted to reflect the current management estimate.

Contingent Assets

Contingent Assets are possible assets that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company. Contingent Assets are disclosed in the financial statements when inflow of economic benefits is probable on the basis of judgment of management. These are assessed continually to ensure that developments are appropriately reflected in the financial statements.

10. Foreign Currency Transactions and Translation

Transactions in foreign currencies are initially recorded at the functional currency rates at the date the transaction first qualifies for recognition. Monetary Assets and Liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date. Exchange differences arising on settlement or translation of monetary items are recognized in Statement of Profit and Loss in the year in which it arises.

11. Revenue Recognition

(I) Revenue From Operations

Revenue from contracts with customers is recognised when control of the goods or services are transferred to the customer at an amount that reflects the consideration the company is entitled in exchange for those goods or services

Revenue towards satisfaction of a performance obligation is measured at the amount of transaction price (Net of variable consideration) allocated to that performance obligation. The transaction price of goods sold and services rendered is net of variable consideration on account of discounts, rebates, credits, price incentives or similar terms.

A. Sale of goods

Generally, control is transferred upon shipment of goods to the customer or when the goods is made available to the customer, provided transfer of title to the customer occurs and the Company has not retained any significant risks of ownership or future obligations with respect to the goods shipped.

Consideration is generally due upon satisfaction of performance obligations and a receivable is recognized when it becomes unconditional. In case of discounts, rebates, credits, price incentives or similar terms, consideration are determined based on its most likely amount, which is assessed at each reporting year.

B. Rendering of services

Revenue from rendering of services is recognised over time by measuring the progress towards complete satisfaction of performance obligations at the reporting year.

Revenue is measured at the amount of consideration which the company expects to be entitled to in exchange for transferring distinct goods or services to a customer as specified in the contract, excluding amounts collected on behalf of third parties (for example taxes and duties collected on behalf of the government). Consideration is generally due upon satisfaction of performance obligations and a receivable is recognized when it becomes unconditional.



In case of discounts, rebates, credits, price incentives or similar terms, consideration are determined based on its most likely amount, which is assessed at each reporting year.

C. Other operational revenue

Other operational revenue represents income earned from the activities incidental to the business and is recognised when the right to receive the income is established as per the terms of the contract.

(II) Other Income

Interest income is accrued on a time basis by reference to the principal outstanding and the effective interest rate.

Dividend income is accounted in the year in which the right to receive the same is established.

Other items of income are accounted as and when the right to receive such income arises and it is probable that the economic benefits will flow to the company and the amount of income can be measured reliably.

12. Employee Benefits

i. Defined Benefit Obligations

(a) Post-employment benefits (Gratuity):

The liability recognised in balance sheet in respect of gratuity (unfunded) is the present value of defined benefit obligation at the end of reporting year less fair value of plan assets. The defined benefit obligation is calculated annually by actuaries using projected unit credit method.

Remeasurement actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are recognised in the year in which they occur, directly in other comprehensive income. They are included in retained earnings in the statement if changes in equity and in the balance sheet.

(b) Other employee benefits:

The liabilities for earned leave are not expected to be settled wholly within 12 months after the end of the year in which the employees render the related service. They are therefore measured as present value of expected future payments to be made in respect of services provided by employees up to the end of reporting year using the projected unit credit method.

ii. Defined Contribution Plan:

Company pays contributions to provident fund, employee pension scheme and employee state insurance as per statutes/ amounts as advised by the Authorities. The Company has no further obligations once the contributions have been paid. The contributions are accounted for as defined contribution plan and the contributions are recognised as employee benefit expense when they are due.

iii. Short-Term Benefits:

Liabilities for salaries, including non-monetary benefits that are expected to be settled wholly within 12 months after the end of reporting year in which the employees rendered the related services are recognised in respect of employee's service up to the end of reporting year and are measured at the amount expected to be paid when the liabilities are settled. These liabilities are presented as current employee benefit obligations in the balance sheet.

13. Income Taxes

Income Tax Expense comprises Current and Deferred Tax. Current Tax Expense is recognized in Statement of Profit and Loss A/c except to the extent that it relates to items recognized directly in other comprehensive income or equity, in which it is recognized in OCI or Equity.

Current Tax

Current Tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted and as applicable at the reporting date, and any adjustment to tax payable in respect of previous years. Current Income Taxes are recognized under 'Income Tax payable' net of payments on account, or under 'Tax receivables' where there is a debit balance.

Deferred Tax

Deferred Tax is recognized using the Balance Sheet method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred Tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date. Deferred Tax Assets and Liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle Current Tax Liabilities and Assets on a net basis or their tax assets and liabilities will be realised simultaneously.

Deferred Tax is recognized in Statement of Profit and Loss except to the extent that it relates to items recognized directly in OCI or Equity, in which case it is recognized in OCI or Equity.

A Deferred Tax Asset is recognized to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

14. Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

a. Financial Assets

Initial recognition and measurement

All financial assets are recognized initially at fair value plus or minus, in the case of financial assets not recorded at fair value through profit or loss, transaction costs that are attributable to the acquisition or issue of the financial asset.

Impairment of Financial Assets

In accordance with Ind-AS 109, the Company applies expected credit loss (ECL) model for measurement and recognition of impairment loss on the financial assets and credit risk exposure.

For recognition of impairment loss on financial assets and risk exposure, the Company determines that whether there has been a significant increase in the credit risk since initial recognition. If credit risk has not increased significantly, 12-month ECL is used to provide for impairment loss. However, if credit risk has increased significantly, lifetime ECL is used. If, in a subsequent year, the credit quality of the instrument improves then the entity reverts to recognising impairment loss allowance based on 12-month ECL.

In respect of Trade receivables or any financial asset that result from transactions that are within the scope of Ind AS 115, company follows 'simplified approach' for recognition of impairment loss allowance within the scope of Ind AS 115, if they do not contain a significant financing component. It recognizes impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.

b. Financial Liabilities

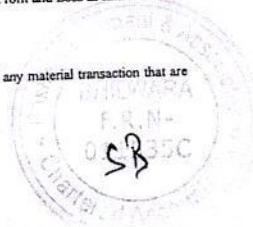
Initial recognition and measurement

All Financial Liabilities are recognized at fair value and in case of loans, net of directly attributable transaction cost. Fees of recurring nature are directly recognized in the Statement of Profit and Loss as finance cost.

Subsequent Measurement

Financial Liabilities are carried at amortized cost using the effective interest method. Amortized cost is calculated by taking into account any discount or premium on acquisition and any material transaction that are any integral part of the EIR. For trade and other payables maturing within one year from the balance sheet date, the carrying amounts approximate the fair value of the instrument.

Derecognition



A Financial Liability is derecognized when the obligation under the liability is discharged or cancelled or expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognized in the Statement of Profit and Loss.

c. Derivative Financial Instrument

The Company uses forwards to mitigate the risk of changes in interest rates, exchange rates and commodity prices. Such derivative financial instruments are initially recognized at fair value on the date on which a derivative contract is entered into and are also subsequently measured at fair value on the reporting date. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative. Any gains or losses arising from changes in the fair value of derivatives are taken to cash flow hedge reserve through Statement of Other Comprehensive Income.

These are accounted for as follows:

a) Cash flow hedge

When derivative is designated as a cash flow hedging instrument, the effective portion of changes in the fair value of the derivative is recognized in the cash flow hedging reserve being part of other comprehensive income. Any ineffective portion of changes in the fair value of the derivative is recognized immediately in the Statement of Profit and Loss. If the hedging instrument expires or is sold, terminated or exercised, the cumulative gain or loss previously recognized in the cash flow hedging reserve is transferred to the Statement of Profit and Loss upon the occurrence of the underlying transaction. If the forecasted transaction is no longer expected to occur, then the amount accumulated in cash flow hedging reserve is reclassified in the Statement of Profit and Loss.

b) Fair Value Hedge

Changes in the fair value of hedging instruments and hedged items that are designated and qualify as fair value hedges are recorded in the Statement of Profit and Loss. If the hedging relationship no longer meets the criteria for hedge accounting, the adjustment to the carrying amount of a hedged item for which the effective interest method is used is amortized to Statement of Profit and Loss over the year of maturity.

15. CSR Expenditure

The Company undertakes Corporate Social Responsibility (CSR) activities as per Section 135 of the Companies Act, 2013 and the Companies (CSR Policy) Rules, 2014. CSR expenditure includes amounts incurred on activities that are approved as ongoing projects by the Board in line with the CSR policy and applicable law.

CSR expenditure is recognized in the Statement of Profit and Loss in the year in which it is incurred. For ongoing projects, any unspent amount at the end of the financial year is transferred to a separate "Unspent CSR Account" with a scheduled bank within 30 days from the end of the financial year, in accordance with Section 135(6) of the Act. Such amounts are spent within the timelines prescribed under Rule 4(6) of the CSR Rules.

The Company does not capitalize any CSR expenditure unless it results in the creation of an asset controlled by a qualifying entity as specified under Rule 7(4) of the CSR Rules.

16. Segment reporting

An operating segment is a component of the Company that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Company's other components, and for which discrete financial information is available. Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker ("CODM").

The Company's Board has identified the CODM who is responsible for financial decision making and assessing performance. The Company has a single operating segment as the operating results of the Company are reviewed on an overall basis by the CODM.

17. Lease

The Company, as a lessee, recognises a right-of-use asset and a lease liability for its leasing arrangements, if the contract conveys the right to control the use of an identified asset. The determination of whether an agreement is, or contains, a lease is based on the substance of the agreement at the date of inception.

The contract conveys the right to control the use of an identified asset, if it involves the use of an identified asset and the Company has substantially all of the economic benefits from use of the asset and has right to direct the use of the identified asset.

Initial Measurement

Lease Liability: At the commencement date, a Company measure the lease liability at the present value of the lease payments that are not paid at that date. The lease payments shall be discounted using incremental borrowing rate. Right-of-use assets: initially recognised at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or prior to the commencement date of the lease plus any initial direct costs less any lease incentives.

Subsequent Measurement

Lease Liability: Company measure the lease liability by (a) increasing the carrying amount to reflect interest on the lease liability; (b) reducing the carrying amount to reflect the lease payments made; and (c) remeasuring the carrying amount to reflect any reassessment or lease modifications. Right-of-use assets: subsequently measured at cost less accumulated depreciation and impairment losses. Right-of-use assets are depreciated from the commencement date on a straight line basis over the shorter of the lease term and useful life of the underlying asset.

Impairment

Right of use assets are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

Short Term Lease Or Low Value Lease

Short term lease is that, at the commencement date, has a lease term of 12 months or less. A lease that contains a purchase option is not a short-term lease.

Low value lease is for which the underlying asset is of low value. If the company elected to apply short term lease/Low Value Lease, the lessee shall recognise the lease payments associated with those leases as an expense on either a straight-line basis over the lease term or another systematic basis. The lessee shall apply another systematic basis if that basis is more representative of the pattern of the lessee's benefit.

18. Earnings per share

Basic earnings per equity share is computed by dividing the net profit or loss attributable to equity shareholders of the Company by the weighted average number of equity shares outstanding during the financial year.

Diluted earnings per equity share is computed by dividing the net profit or loss attributable to equity shareholders of the Company by the weighted average number of equity shares considered for deriving basic earnings per equity share and also the weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares.



SONASELECTION INDIA LIMITED
(CIN : U17299RJ2022PLC079631)
Registered Office: 18Th K M Stone, Chittorgarh Road, Hamirgarh, Bhilwara,

Annexure - VI : Notes to the Audited Consolidated Financial Statements
(All amounts in ₹ Million, except as otherwise stated)

Note 2 : Property, Plant and Equipment

For the year from 1st April, 2025 to 31st March, 2026

Particulars	Gross Carrying Value			Accumulated Depreciation			Net Carrying Value	
	Opening as on 1st April, 2025	Additions	Disposals	Closing as on 31st March, 2026	Opening as on 1st April, 2025	Additions	As on 31st March, 2026	As on 31st March, 2025
Land	39.19	-	-	39.19	-	-	39.19	39.19
Buildings	434.35	69.24	-	503.59	17.02	13.91	472.66	417.33
Plant and Equipment	1,466.91	222.49	-	1,689.40	247.20	166.49	1,275.71	1,219.71
Furniture and Fixtures	4.36	1.12	-	5.48	0.35	0.90	4.23	4.01
Vehicles	27.89	26.45	-	54.34	10.83	6.02	37.49	17.06
Office equipment	2.35	0.64	-	2.99	1.03	0.69	1.27	1.32
Computer	1.51	1.26	-	2.77	0.30	0.68	1.79	1.21
Total	1,976.56	321.20	-	2,297.76	276.73	188.69	1,832.34	1,699.83

For the year from 1st April, 2024 to 31st March, 2025

Particulars	Gross Carrying Value			Accumulated Depreciation			Net Carrying Value	
	Opening as on 1st April, 2024	Additions	Disposals	Closing as on 31st Mar, 2025	Opening as on 1st April, 2024	Additions	As on 31st Mar, 2025	As on 31st Mar, 2024
Land	38.34	0.85	-	39.19	-	-	39.19	38.34
Buildings	93.00	341.35	-	434.35	5.66	11.36	417.33	87.34
Plant and Equipment	698.85	768.06	-	1,466.91	93.77	153.43	1,219.71	605.08
Furniture and Fixtures	0.14	4.22	-	4.36	0.02	0.33	4.01	0.12
Vehicles	22.19	5.70	-	27.89	3.74	7.09	17.06	18.45
Office equipment	1.33	1.02	-	2.35	0.32	0.71	1.32	1.01
Computer	0.11	1.40	-	1.51	0.08	0.22	1.21	0.03
Total	853.96	1,122.60	-	1,976.56	103.59	173.14	1,699.83	750.37



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Annexure - VI : Notes to the Audited Consolidated Financial Statements
(All amounts in ₹ Million, except as otherwise stated)

For the year from 1st April, 2023 to 31st March, 2024

Particulars	Gross Carrying Value			Accumulated Depreciation			Net Carrying Value	
	Opening as on 1st April, 2023	Additions	Disposals	Closing as on 31st Mar, 2024	Opening as on 1st April, 2023	Additions	Disposals	Closing as on 31st Mar, 2024
Land	37.03	1.31	-	38.34	-	-	-	37.03
Buildings	92.68	0.32	-	93.00	2.09	3.57	-	87.34
Plant and Equipment	396.51	302.34	-	698.85	33.49	60.28	-	605.08
Furniture and Fixtures	0.05	0.09	-	0.14	-	0.02	-	0.12
Vehicles	0.08	22.11	-	22.19	0.01	3.73	-	18.45
Office equipment	0.31	1.02	-	1.33	0.01	0.31	-	1.01
Computer	0.08	0.03	-	0.11	0.02	0.06	-	0.03
Total	526.74	327.22	-	853.96	35.62	67.97	-	750.37

Note 1: Depreciation on all the Fixed Assets is charged on Straight Line Method (SLM) during the year/year as per the policy adopted by the Company.

Note 2: All fixed assets of the company has been given as security against borrowings from banks. For further details, refer Note 14 - Borrowings.

Note 3: The Company has not carried out any revaluation of property, plant and equipment for year ended on March 31, 2026, March 31, 2025 and March 31, 2024.

Note 4: The title deeds, comprising all immovable properties are held in name of the company as at the balance sheet date.

Note 5: There are no exchange differences adjusted in property, plant and equipment.

Note 6: There are no impairment losses recognised during the year/year.

Note 7: Borrowing costs capitalised on property, plant and equipment in 2023-24 Rs. 203.79 lacs and for other reporting year is NIL.

Note 8: Refer Note No. 43 For disclosure of Contractual commitments for the acquisition of property, plant and equipment.

Note 9: Estimated useful life of Assets considered for the purpose of computing depreciation

Particulars	Estimated useful life (In years)
Buildings	30.00
Plant and Equipment	15.00
Furniture and Fixtures	5.00
Vehicles	5.00
Office equipment	3.00
Computer	3.00



Annexure - VI : Notes to the Audited Consolidated Financial Statements
(All amounts in ₹ Million, except as otherwise stated)

Note 3 : Capital Work in Progress

Tangible Assets Under Development:

Capital Work in Progress	Tangible Assets
Balance at March 31, 2023	-
Additions	725.72
Capitalised during the Year	-
Balance at March 31, 2024	725.72
Additions	95.56
Capitalised during the Year	725.72
Balance at March 31, 2025	95.56
Additions	-
Capitalised during the year	95.56
Balance at March 31, 2026	-

There are no CWIP assets which become overdue compared to their original plans or where cost is exceeded compared to original plans, therefore, disclosure relating thereto is not required.

Amount in Capital work in progress for a year

Projects in progress	Less than one year	1-2 Years	2-3 Years	More Than 3 Years	Total
Balance as at March 31, 2026	-	-	-	-	-
Balance as at March 31, 2025	95.56	-	-	-	95.56
Balance as at March 31, 2024	725.72	-	-	-	725.72

Note 4 : OTHER INTANGIBLE ASSETS

For the year from 1st April, 2025 to 31st March, 2026

Particulars	Gross Carrying Value			Accumulated Amortization			Net Carrying Value	
	Opening as on 1st April, 2025	Additions	Disposals	Closing as on 31st March, 2026	Additions	Disposals	Closing as on 31st March, 2026	As on 31st Mar, 2025
Computer Software	-	10.37	-	10.37	1.64	-	1.64	8.73
Total	-	10.37	-	10.37	1.64	-	1.64	8.73

Note 1: Amortization on all other Intangible assets is charged on Straight Line Method (SLM) during the year as per the policy adopted by the Company.

Note 2: Estimated useful life of Assets considered for the purpose of computing Amortization

Particulars	Estimated useful life (In years)
Software	5.00



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Note 5 : Intangible Assets Under Development:

Capital Work in Progress	Intangible Assets
Movements	
Balance at March 31, 2023	-
Additions	-
Capitalised during the Year	-
Balance at March 31, 2024	6.40
Additions	-
Capitalised during the Year	6.40
Balance at March 31, 2025	-
Additions	6.40
Capitalised during the year	-
Balance at March 31, 2026	-

Note 1: There are no CWIP assets which become overdue compared to their original plans or where cost is exceeded compared to original plans, therefore, disclosure relating thereto is not required.

Amount in Capital work in progress for a year

Projects in progress	Less than one year	1-2 Years	2-3 Years	More Than 3 Years	Total
Balance as at March 31, 2026	-	-	-	-	6.40
Balance as at March 31, 2025	6.40	-	-	-	-
Balance as at March 31, 2024	-	-	-	-	-



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Note (6) : Other Financial Assets

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
(A) Non-current Unsecured, considered good Security Deposit	8.95	7.57	10.12
Total	8.95	7.57	10.12

Note (7) : Inventories

(At cost or net realisable value, whichever is lower)

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
(a) Raw materials			
Dyes & Chemical	55.19	34.36	37.06
Coal & Fuel	28.60	13.85	15.34
Fabrics	441.19	323.82	-
Yarn	417.73	119.22	-
	942.71	491.25	52.40
(b) Work in progress	25.07	17.33	22.35
(c) Finish Fabrics	472.09	377.91	30.19
(d) Finished goods	58.42	78.41	75.65
(e) Stores and spares & Packing Material	40.24	5.86	10.10
Total	1,538.53	970.76	190.69

- 7.1) The method of valuation of stock are stated in material accounting policy
7.2) All the above inventories are expected to be recovered within Twelve Months



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(All amounts in ₹ Million, except as otherwise stated)

Note (8) : Trade receivables

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Secured, considered good	-	-	-
Unsecured & Undisputed, considered good	1,036.99	696.87	139.87
Unsecured & Undisputed, considered doubtful	-	-	-
Unsecured & Disputed, considered good	-	-	-
Unsecured & undisputed, considered good	-	-	-
Less: Provision for doubtful debts	-	-	-
Total	1,036.99	696.87	139.87



Ageing for Trade Receivables the due date of payment for each of the category as at 31st March, 2026

Particulars	Unbilled	Less than 6 Months	6 months-1 years	1-2 years	2-3 Years	More than 3 years	Total
Secured, considered good	-	-	-	-	-	-	-
Unsecured & Undisputed, considered good	-	945.62	91.37	-	-	-	1,036.99
Unsecured & Undisputed, considered doubtful	-	-	-	-	-	-	-
Unsecured & Disputed, considered good	-	-	-	-	-	-	-
Unsecured & undisputed, considered good	-	-	-	-	-	-	-
Less: Provision for doubtful debts	-	-	-	-	-	-	-
Total	-	945.62	91.37	-	-	-	1,036.99

Ageing for Trade Receivables the due date of payment for each of the category as at 31st March, 2025

Particulars	Unbilled	Less than 6 Months	6 months-1 years	1-2 years	2-3 Years	More than 3 years	Total
Secured, considered good	-	-	-	-	-	-	-
Unsecured & Undisputed, considered good	-	696.87	-	-	-	-	696.87
Unsecured & Undisputed, considered doubtful	-	-	-	-	-	-	-
Unsecured & Disputed, considered good	-	-	-	-	-	-	-
Unsecured & undisputed, considered good	-	-	-	-	-	-	-
Less: Provision for doubtful debts	-	696.87	-	-	-	-	696.87
Total	-	696.87	-	-	-	-	696.87

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Ageing for Trade Receivables the due date of payment for each of the category as at 31st March ,2024

Particulars	Unbilled	Less than 6 Months	6 months-1 years	1-2 years	2-3 Years	More than 3 years	Total
Secured, considered good	-	-	-	-	-	-	-
Unsecured & Undisputed, considered good	-	139.87	-	-	-	-	139.87
Unsecured & Undisputed, considered doubtful	-	-	-	-	-	-	-
Unsecured & Disputed, considered good	-	-	-	-	-	-	-
Unsecured & undisputed, considered good	-	-	-	-	-	-	-
Less: Provision for doubtful debts	-	-	-	-	-	-	-
Total	-	139.87	-	-	-	-	139.87

8.1) Trade receivables are generally due between 60 to 90 days.

8.2) Credit risk is managed at the operational segmental level. The credit limit and credit year are fixed for each customer after evaluating the financial position, past performance, business opportunities, credit references etc. The credit limit and the credit year are reviewed regularly at yearical intervals.

8.3) Concentration risk considers significant exposures relating to industry, counterparty, geography, currency etc. The concentration of credit risk is not significant as the customer base is large and diversified.

8.4) Since the due dates of payment were not available, the ageing of balances has been determined using the respective invoice dates.

8.5) The Company measures the loss allowance for trade receivables at an amount equal to lifetime expected credit losses using the simplified approach prescribed under Ind AS 109. The Company determines expected credit losses using a provision matrix based on historical credit loss rates, adjusted for forward-looking macroeconomic factors and counterparty risk profiles. Based on historical default trends, strong credit evaluation mechanisms, prompt recovery records, and forward-looking economic assessments, the historical loss rates and lifetime ECL on trade receivables are evaluated to be Nil all the reporting years.

Note (9) : Cash and cash equivalents

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
(a) Cash on hand	0.26	0.02	0.30
(b) Balances with banks	23.55	2.13	41.10
(i) In current accounts	23.81	2.15	41.40
Total			



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**Annexure - VI : Notes to the Audited Consolidated Financial Statements
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Note (10) : Bank Balance other than above

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Bank deposit with original maturity more than 3 months but less than 12 months (Refer note below)	26.15	53.40	44.76
Total	26.15	53.40	44.76

Note : Bank deposit given against lien.

Note (11) : Other Assets

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Current	6.63	1.26	0.61
Prepaid expenses			
Balances with government authorities	204.38	151.36	87.98
Goods & Service Tax Receivable	1.02	2.18	1.12
Others Advances	1.08	28.10	38.32
Advances to Suppliers	25.01	1.19	-
Interest Receivable under RIPS	0.99	0.47	0.37
Interest Receivable on security deposit	10.25		
Preoperative expenses including Research and Development Cost	24.99	-	-
IPO related Expenses			
Total	274.35	184.56	128.40



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Note (12) Equity Share Capital

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
AUTHORISED SHARE CAPITAL			
6,00,00,000 Equity Shares of ₹10 each as at March 31, 2026 (March 31, 2025: 2,20,00,000 Equity Shares of ₹10 each and March 31, 2024: 32,50,000 Equity Shares of ₹10 each)	600.00	220.00	32.50
	600.00	220.00	32.50
ISSUED, SUBSCRIBED & PAID UP CAPITAL			
4,25,28,681 Equity Shares of ₹10 each as at March 31, 2026 (March 31, 2025: 1,58,74,145 Equity Shares of ₹10 each and March 31, 2024: 31,00,000 Equity Shares of ₹10 each)	425.29	158.74	31.00
Total	425.29	158.74	31.00

(1) Reconciliation of the number of shares outstanding at the beginning and at the end of the reporting year;

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
	No. of Share	Value of Share (In Million)	No. of Share
			Value of Share (In Million)
Shares outstanding at the beginning of the year	15,874,145	158.74	31.00
Compulsorily Convertible Debenture into shares during the year	483,040	4.83	
Bonus Shares Issued during the year	26,171,496	261.71	
Shares Issued during the year	-	-	
Shares outstanding at the end of the year	42,528,681	425.29	31.00

(2) Details of share held by shareholders holding more than 5% of the aggregate share capital in the Company;

(2) Details of share held by shareholders holding more than 5% of the aggregate share capital of the Company

Name of Shareholder	As at 31st March 2026		As at 31st March 2025		As at 31st March 2024	
	No. of Share	% of Holding	No. of Share	% of Holding	No. of Share	% of Holding
Deepank Bhandari	19,624,473	46.14%	7,725,000	48.66%	1,545,000	49.84%
Sona Polyspin Private Limited	11,765,000	27.66%	4,525,000	28.51%	905,000	29.19%
Subhash Nuwal	-	0.00%	1,774,990	11.18%	354,998	11.45%
Harshil Nuwal	8,449,935	19.87%	1,474,985	9.29%	294,997	9.52%



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Annexure - VI : Notes to the Audited Consolidated Financial Statements
(All amounts in ₹ Million, except as otherwise stated)**(3) Details of shares held by each Promoters****At end of the year 31st March, 2026**

Name of Shareholder	No of Share	% of Holding	% Change during the year
Deepank Bhandari	19,624,473	46.14%	-2.52%
Sona Polyspin Private Limited	11,765,000	27.66%	-0.84%
Subhash Nuwal	-	0.00%	-11.18%
Harshil Nuwal	8,449,935	19.87%	10.58%
Uma Nuwal	13	0.00%	0.00%

At end of the year 31st March, 2025

Name of Shareholder	No of Share	% of Holding	% Change during the year
Deepank Bhandari	7,725,000	48.66%	-1.17%
Sona Polyspin Private Limited	4,525,000	28.51%	-0.69%
Subhash Nuwal	1,774,990	11.18%	-0.27%
Harshil Nuwal	1,474,985	9.29%	-0.22%
Uma Nuwal	5	0.00%	0.00%

At end of the year 31st March, 2024

Name of Shareholder	No of Share	% of Holding	% Change during the year
Deepank Bhandari	1,545,000	49.84%	0.00%
Sona Polyspin Private Limited	905,000	29.19%	0.00%
Subhash Nuwal	354,998	11.45%	0.00%
Harshil Nuwal	294,997	9.52%	0.00%
Uma Nuwal	1	0.00%	0.00%



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**Annexure - VI : Notes to the Audited Consolidated Financial Statements
(All amounts in ₹ Million, except as otherwise stated)****Rights Preference and Restriction attached to Equity Shares**

1. The Company has only one class of shares referred to as Equity Shares having the par value of Rs. 10/- Each Holder of equity share is entitled to one vote per share and dividend as and when declared by the company.
2. The Company declares and pays dividends in Indian rupees. The dividend proposed by the Board of Directors is subject to approval of the shareholders in the ensuing Annual General Meeting. During the year/Year, No dividend was declared by Board of directors.
3. In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all preferential amounts (if any). The distribution will be in proportion to the number of equity shares held by the shareholders
4. The Company did not have outstanding calls unpaid by the directors and officers of the Company and also did not have any amount of forfeited shares in any of the reporting year
5. The Company has not allotted any fully paid up equity shares without payment being received in cash except bonus shares and nor has bought back any class of equity shares during the year of five years immediately preceding the balance sheet date

Note (13) : Other Equity

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
(i) Securities Premium Reserve	-	51.26	123.60
(ii) Capital Reserve	78.74	78.74	78.74
(iii) Retained Earnings	537.60	340.96	155.47
(iv) Equity component of Compulsorily Convertible Debenture	-	71.01	-
Total	616.34	541.97	357.81

(i) Securities Premium Reserve

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Opening Balance at the beginning of the year	51.26	123.60	123.60
Add : Received during the Year	66.17	51.26	-
Less : Utilised against issue of bonus shares	(117.43)	(123.60)	-
Closing Balance at the end of the year	-	51.26	123.60



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The security premium received during the year ended March 31, 2025 represents the premium towards allotments of equity share. During the Year ended March 31, 2025, 374,145 equity share with face value of Rs. 10/- each allotted at Premium of Rs. 137/- per share.

The balance will be utilised in accordance with the provisions of Section 52 of the Companies Act towards issuance of fully paid bonus shares, write-off of preliminary expenses, commission / discount expenses on issue of shares / debentures, premium payable on redemption of redeemable preference shares / debentures and buy back of its own shares / securities under Section 68 of the Companies Act, 2013.

During the FY 2024-25, The company has allotted Bonus Equity Shares to the shareholders of the company in the proportion of 4 new fully paid-up Equity Share of Face Value of Re. 10/- each for every 1

existing fully paid-up Equity Share of Face Value of Re. 10/- each. the same was partially utilised against retained earnings

During the Financial Year 2025-26, The Company has converted Compulsorily Convertible Debentures (CCDs) into Equity Shares in the ratio of 1:5, pursuant to the terms of issue. Accordingly, 4,83,040 (Four Lakh Eighty-Three Thousand Forty) Equity Shares of ₹10/- each were converted including premium of Rs. 137/-

During the Financial Year 2025-26, The Company has issued Bonus Shares in the ratio of 1:16 to the existing equity shareholders. Consequently, 2,61,71,496 (Two Crore Sixty-One Lakh Seventy-One Thousand Four Hundred Ninety-Six) Equity Shares of ₹10/- each the same was partially utilised against retained earnings

(ii) Capital Reserve

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Opening Balance at the beginning of the year	78.74	78.74	78.74
Add : Received during the Year	-	-	-
Closing Balance at the end of the year	78.74	78.74	78.74

Capital Reserve on account of plant of Sona Processors India Limited under Slump Sale basis whereas all fixed assets i.e. Land & Building, Plant and Machinery, Current assets and liabilities takeover by Sonaselection India Limited, for a lump sum consideration without values being assigned to the individual assets and liabilities in such sales. Afterward, all the assets and Liabilities takeover by Sonaselection India Limited has been recorded in book of accounts. Difference between lump sum sale considered and Net worth (all Assets less all Liabilities takeover) accounted as capital Reserves.

(iii) Retained Earnings

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Opening Balance at the beginning of the year	340.96	155.47	25.09
Add: Profit for the year	340.23	185.63	130.95
Less : Utilised against issue of bonus shares (Refer Note)	(144.28)	(0.40)	-
Add : Other Comprehensive Income arising from remeasurement of defined benefit obligation net of tax	0.69	0.26	(0.57)
Closing Balance at the end of the year	537.60	340.96	155.47



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Note : During the FY 2024-25, The company has allotted Bonus Equity Shares to the shareholders of the company in the proportion of 4 new fully paid-up Equity Share of Face Value of Re. 10/- each for every 1 existing fully paid-up Equity Share of Face Value of Re. 10/- each. the same was partially utilized against security premium.

During the Financial Year 2025-26, The Company has issued Bonus Shares in the ratio of 1:1.6 to the existing equity shareholders. Consequently, 2,61,71,496 (Two Crore Sixty-One Lakh Seventy-One Thousand Four Hundred Ninety-Six) Equity Shares of ₹10/- each the same was partially utilised against retained earnings

(iv) : Equity component of Compulsorily Convertible Debenture

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Opening Balance at the beginning of the year	71.01	-	-
Add : Issued during the Year	-	71.01	-
Less : converted in equity share capital during the Year	(71.01)	-	-
Closing Balance at the end of the year	-	71.01	-

Note: The Company had issued 96,608 unsecured 0.001% Compulsorily Convertible Debentures (CCDs) at a face value of ₹10 each at a premium of ₹725 per debenture, aggregating to ₹71.01 Million on 16th September, 2024. The CCDs were mandatorily convertible into Equity Shares at a ratio of 1:1 (one Equity share for each CCD held) within 18 months of issue. In accordance with terms of the issue, these CCDs were converted into Equity Shares on 20th August, 2025. Refer note 46 for further details.

During the Financial Year 2025-26, The Company has converted Compulsorily Convertible Debentures (CCDs) into Equity Shares in the ratio of 1:5, pursuant to the terms of issue. Accordingly, 4,83,040 (Four Lakh Eighty-Three Thousand Forty) Equity Shares of ₹10/- each were allotted.



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Annexure - VI : Notes to the Audited Consolidated Financial Statements
(All amounts in ₹ Million, except as otherwise stated)**Note (14) : Borrowings**

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Secured			
(i) Term loans			
From HDFC Bank	1,131.91	1,284.50	991.25
From ICICI Bank	175.95	-	-
(ii) Vehicles Loans (Secured By Hypothecation on Vehicles)	36.09	19.13	17.25
Total Secured loan	1,343.95	1,303.63	1,008.50
Less : current maturities of term loans (included in note 17)	227.73	168.91	85.52
Less : current maturities of Vehicle Loans (included in note 17)	12.73	4.40	3.48
Total non current secured borrowings	1,103.49	1,130.32	919.50
(iii) Unsecured Loans			
(a) Loan from Related Parties	109.31	152.40	193.10
(a) Loan from others	50.59	25.00	5.00
Total	1,263.39	1,307.72	1,117.60

Notes and Terms & Condition of Loans:-

- Term Loans :-** Term Loan facility from HDFC Bank comprises of 4 term loans and from ICICI Bank comprises of 2 term loans. 5 term loans out of 6 term loan including current maturities are secured by way of first charge over entire Fixed assets (Present & Future) of the company including equitable mortgage of its Factory Land & building situated at 18 K.M. Stone, Chittor Road, Guwardi, Bhilwara in the name of M/s Sonaselection India Limited & personally guaranteed by guaranteed Directors & guarantors of the Company, viz Subhash Nuwal, Harshil Nuwal, Uma Nuwal, Deepank Bhandari, Kailash Bhandari and Anita Bhandari and one term loan from ICICI bank including current maturities are secured by residential property in the name of Uma Nuwal and Skhina Nuwal including their personal guarantes.

Term Loan 1 - Sanctioned & Disbursed for Rs. 241.40 Million (Outstanding Balance - Rs. 137.67 Million as on 31st March 2026) is repayable in monthly installments of Rs. 3.74 Million Last date of Repayment is December 2029. Rate of Interest Linked with 3M Repo Rate i.e. 7.38% p.a.

Term Loan 2 - Sanctioned & Disbursed for Rs. 117.50 Million (Outstanding Balance - Rs. 78.39 Million as on 31st March 2026) is repayable in monthly installments of Rs. 1.90 Million. Last date of Repayment is June 2030. Rate of Interest Linked with 3M Repo Rate i.e. 7.22% p.a.

Term Loan 3- Sanctioned Rs. 850 Million (Outstanding Balance - Rs. 702.23 Million as on 31st March 2026) is repayable in monthly installments of Rs. 13.44 Million. Last date of Repayment is October 2031. Rate of Interest Linked with 3M- Repo Rate i.e. 7.22% p.a.

Term Loan 4- Sanctioned Rs. 226.30 Million (Outstanding Balance - Rs. 213.62 Million as on 31st March 2026) is repayable in monthly installments of Rs. 3.58 Million. Last date of Repayment is October 2031. Rate of Interest Linked with 3M- Repo Rate i.e. 7.75% p.a.

Term Loan 5- Sanctioned Rs. 100 Million (Outstanding Balance - Rs. 91.67 Million as on 31st March 2026) is repayable in monthly installments of Rs. 1.19 Million. Last date of Repayment is October 2032. Rate of Interest Linked with 3M- Repo Rate i.e. 7.85% p.a.

Term Loan 6- Sanctioned Rs. 100 Million (Outstanding Balance - Rs. 84.28 Million as on 31st March 2026) is repayable in monthly installments of Rs. 1.17 Million. Last date of Repayment is December 2032. Rate of Interest Linked with 3M- Repo Rate i.e. 7.85% p.a.

- Vehicle loans are taken HDFC bank Ltd , repayable in next 5 years. Loan including current maturities are secured by way of hypothecation over vehicles. Out of the outstanding Loans of Rs. 36.09 Million as on 31st March 2026, Rs. 12.73 Million will due in next 1 year.
- Unsecured loan is taken from Directors, Friends, relatives. As Explained the same will become due for payment after a year of 1 year.



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Note (15) : Provisions

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Non-current Provisions			
Gratuity	13.23	7.47	4.41
Leave Encashment	9.08	7.29	3.89
Total Non-current Provisions	22.31	14.76	8.30
Current Provisions			
Gratuity	0.03	0.02	0.01
Leave Encashment	1.89	0.31	0.21
Total current Provisions	1.92	0.33	0.22
Total	24.23	15.09	8.52

Note (16) : Deferred tax liabilities

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Deferred Tax Liability Opening Balance	127.31	72.92	63.13
Add :- Provision during year	22.91	54.39	9.79
Net Deferred Tax Liability	150.22	127.31	72.92



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Note (17) Borrowings	Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Secured				
(a) Loans repayable on demand				
- HDFC Bank		333.97	417.19	239.42
- SBI Bank		361.02	175.75	-
- Axis Bank		310.04	-	-
- ICICI Bank		73.52	-	-
Current maturities of long-term debt- Term Loan (Refer Note 14)		227.73	168.91	85.52
Current maturities of long-term debt- Vehicle Loan (Refer Note 14)		12.73	4.40	3.48
Total		1,319.01	766.25	328.42

Notes :-

(a) Particulars	As at 31st March 2026				As at 31st March 2025		As at 31st March 2024	
	HDFC	SBI	Axis	ICICI	HDFC	SBI	HDFC	
Bankers								
Loans repayable on demand								
From Bankers	333.97	361.02			417.19	175.75		239.42
Loan Name	Cash Credit / FD-OD/ credit Card	Cash Credit	Cash Credit	Cash Credit	Cash Credit	Cash Credit	Cash Credit / WCDL	
Sanction Limit (Rs in Million)	350.00	477.00	350.00	100.00	450.00	220.00		250.00
Rate of Interest (Average)	8.52%	8.50%	8.52%	8.50%	8.80%	8.50%		8.85%
Rate of Interest	7.60%	8.00%	7.50%	8.10%	8.38%	8.50%		8.40%
Purpose	Business	Business	Business	Business	Business	Business	Business	Business



Annexure - VI : Notes to the Audited Consolidated Financial Statements

(All amounts in ₹ Million, except as otherwise stated)

Security	Primary: All Debtors, All Types Of Stock, All Types Of Machine, Fixed Deposit	Primary: First Pari-passu on stock and receivables (Present and Future) with HDFC Bank and 2nd charge on Plant and Machinery along with HDFC Bank	Primary: All Debtors, All Types Of Stock, All Types Of Machine, Fixed Deposit	Primary: All Debtors, All Types Of Stock, All Types Of Machine, Fixed Deposit	Primary: All Debtors, All Types Of Stock, All Types Of Machine, Fixed Deposit	Primary: First Pari-passu on stock and receivables (Present and Future) with HDFC Bank	Primary: All Debtors, All Types Of Stock, All Types Of Machine, Fixed Deposit
Personal Guarantee	Collateral: - Plot No 14 Rajswa Gram Hamri Khurda, Kamla Enclave Araj No 14,16,17,19/1,2 Near Sukhadia Stadium Bhilwara Rajasthan 311001 - Plot No. 141, Situate At Araj No. 524/1 Revenue Vill. Atun 142/1, 143, 144, 179, 180, 181, 182/1 Vill. Atun Bhilwara Rajasthan 311001 - Aaji 1608,1582mi, Chittorgarh 1609, 1607mi, 1607/1, 4197/1581, 4249/1581, 1581,4405/1581 Hamirgarh Bhilwara Rajasthan 311001 - 18th Km Hamirgarh Araj No 1607/2, 5059/1612, 5061/1613, 1583, 1584,1604,1606, 5063/1605,1590 Chittor Road Bhilwara Rajasthan 311025	Collateral Security: Extension of Equitable Mortgage of House no. B-377, Shastri Nagar Yojna, Bhilwara, admeasuring 711.50 sq. yards (Owned by Subhash Chandra Nuwal)	Collateral: - Plot No 14 Rajswa Gram Hamri Khurda, Kamla Enclave Araj No 14,16,17,19/1,2 Near Sukhadia Stadium Bhilwara Rajasthan 311001 - Plot No. 141, Situate At Araj No. 524/1 Revenue Vill. Atun 142/1, 143, 144, 179, 180, 181, 182/1 Vill. Atun Bhilwara Rajasthan 311001 - Aaji 1608,1582mi, Chittorgarh 1609, 1607mi, 1607/1, 4197/1581, 4249/1581, 1581,4405/1581 Hamirgarh Bhilwara Rajasthan 311001 - 18th Km Hamirgarh Araj No 1607/2, 5059/1612, 5061/1613, 1583, 1584,1604,1606, 5063/1605,1590 Chittor Road Bhilwara Rajasthan 311025	Collateral: - Plot No 14 Rajswa Gram Hamri Khurda, Kamla Enclave Araj No 14,16,17,19/1,2 Near Sukhadia Stadium Bhilwara Rajasthan 311001 - Plot No. 141, Situate At Araj No. 524/1 Revenue Vill. Atun 142/1, 143, 144, 179, 180, 181, 182/1 Vill. Atun Bhilwara Rajasthan 311001 - Aaji 1608,1582mi, Chittorgarh 1609, 1607mi, 1607/1, 4197/1581, 4249/1581, 1581,4405/1581 Hamirgarh Bhilwara Rajasthan 311001 - 18th Km Hamirgarh Araj No 1607/2, 5059/1612, 5061/1613, 1583, 1584,1604,1606, 5063/1605,1590 Chittor Road Bhilwara Rajasthan 311025	Collateral: - Plot No 14 Rajswa Gram Hamri Khurda, Kamla Enclave Araj No 14,16,17,19/1,2 Near Sukhadia Stadium Bhilwara Rajasthan 311001 - Plot No. 141, Situate At Araj No. 524/1 Revenue Vill. Atun 142/1, 143, 144, 179, 180, 181, 182/1 Vill. Atun Bhilwara Rajasthan 311001 - Aaji 1608,1582mi, Chittorgarh 1609, 1607mi, 1607/1, 4197/1581, 4249/1581, 1581,4405/1581 Hamirgarh Bhilwara Rajasthan 311001 - 18th Km Hamirgarh Araj No 1607/2, 5059/1612, 5061/1613, 1583, 1584,1604,1606, 5063/1605,1590 Chittor Road Bhilwara Rajasthan 311025	Collateral Security: Extension of Equitable Mortgage of House no. B-377, Shastri Nagar Yojna, Bhilwara, admeasuring 711.50 sq. yards (Owned by Subhash Chandra Nuwal)	Collateral: - Plot No 14 Rajswa Gram Hamri Khurda, Kamla Enclave Araj No 14,16,17,19/1,2 Near Sukhadia Stadium Bhilwara Rajasthan 311001 - Plot No. 141, Situate At Araj No. 524/1 Revenue Vill. Atun 142/1, 143, 144, 179, 180, 181, 182/1 Vill. Atun Bhilwara Rajasthan 311001 - Aaji 1608,1582mi, Chittorgarh 1609, 1607mi, 1607/1, 4197/1581, 4249/1581, 1581,4405/1581 Hamirgarh Bhilwara Rajasthan 311001 - 18th Km Hamirgarh Araj No 1607/2, 5059/1612, 5061/1613, 1583, 1584,1604,1606, 5063/1605,1590 Chittor Road Bhilwara Rajasthan 311025
	1. Subhash Chandra Nuwal 2. Harshil Nuwal, 3. Deepank Bhandari 4. Uma Nuwal	1. Subhash Chandra Nuwal 2. Harshil Nuwal, 3. Deepank Bhandari 4. Uma Nuwal	1. Subhash Chandra Nuwal 2. Harshil Nuwal, 3. Deepank Bhandari 4. Uma Nuwal	1. Subhash Chandra Nuwal 2. Harshil Nuwal, 3. Deepank Bhandari 4. Uma Nuwal	1. Subhash Chandra Nuwal 2. Harshil Nuwal, 3. Deepank Bhandari 4. Uma Nuwal	1. Subhash Chandra Nuwal 2. Harshil Nuwal, 3. Deepank Bhandari 4. Uma Nuwal	1. Subhash Chandra Nuwal 2. Harshil Nuwal, 3. Deepank Bhandari 4. Uma Nuwal



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Note (18) Trade payables

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Total Outstanding dues to micro and small enterprises	7.32	7.66	8.17
Total Outstanding dues to other than micro and small enterprises	805.10	734.76	69.96
Total	812.42	742.42	78.13

Trade payable ageing Schedule As at 31st March 2026

Particulars	Unbilled Dues	Not Due	less than 1 years	1-2 years	2-3 Years	More than 3 years	Total
MSME	-	-	7.32	-	-	-	7.32
Others	-	-	805.10	-	-	-	805.10
Disputes dues - MSME	-	-	-	-	-	-	-
Disputes dues - Others	-	-	-	-	-	-	-
Total	-	-	812.42	-	-	-	812.42

Trade payable ageing Schedule As at 31st March 2025

Particulars	Unbilled Dues	Not Due	less than 1 years	1-2 years	2-3 Years	More than 3 years	Total
MSME	-	-	7.66	-	-	-	7.66
Others	-	-	734.76	-	-	-	734.76
Disputes dues - MSME	-	-	-	-	-	-	-
Disputes dues - Others	-	-	-	-	-	-	-
Total	-	-	742.42	-	-	-	742.42

Trade payable ageing Schedule As at 31st March 2024

Particulars	Unbilled Dues	Not Due	less than 1 years	1-2 years	2-3 Years	More than 3 years	Total
MSME	-	-	8.17	-	-	-	8.17
Others	-	-	69.96	-	-	-	69.96
Disputes dues - MSME	-	-	-	-	-	-	-
Disputes dues - Others	-	-	-	-	-	-	-
Total	-	-	78.13	-	-	-	78.13

20.1) Company has sought details from suppliers as micro, small and medium enterprises under the provision of "Micro, Small, Medium Enterprises developments (MSMED) Act 2006" as at year end.

20.2) Trade payables are non-interest bearing and are normally settled as per due dates generally ranging from 30 to 60 days

20.3) The Company has financial risk management policies in place to ensure that all payables are paid within the agreed credit terms.



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DISCLOSURE FOR AMOUNT DUE TO MICRO, SMALL AND MEDIUM ENTERPRISES

The information required to be disclosed under the MSMED Act, 2006 has been determined to the extent such parties have been identified on the basis of information available with the Company. The details of amount outstanding to Micro & Small Enterprises are as under:

Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
A. Principal amount remaining unpaid	7.32	7.66	8.17
B. Interest due thereon	-	-	-
C. Interest paid by Group in terms of Section 16 of the MSMED Act, 2006 along with the amount of the payment made to suppliers beyond the appointed day during the year	-	-	-
D. Interest due and payable for the year of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under MSMED Act, 2006	-	-	-
E. Interest accrued and remaining unpaid at the end of each accounting year.	-	-	-
F. Further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to small enterprise	-	-	-

Note : Identification of amounts payable to micro, small and medium enterprise in terms of section 16 of Micro, Small & Medium Enterprise Development Act, 2006 is based on the information available with the Company



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Note (19A) Other Financial Liabilities		Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Secured					
Interest accrued but not due on borrowings			10.64	11.47	6.81
Unsecured					
Creditor for Expenses			67.79	16.83	13.29
Capital Creditors			11.52	26.59	-
Employees & Worker Dues			21.52	25.46	16.42
Total			111.47	80.35	36.52

Note (19B) Other Financial Liabilities		Particulars	As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Unsecured					
Advances from Customers			-	2.68	0.36
Statutory dues (Refer No 1)			5.75	5.14	3.67
Other Payable			0.92	-	-
Total			6.67	7.82	4.03

Note 1 : Dues towards contribution to PF, ESIC & TDS etc.

Particulars		As at 31st March 2026	As at 31st March 2025	As at 31st March 2024
Provident Fund Payable		1.52	1.44	1.17
ESIC Payable		0.18	0.01	0.12
TDS/TCS Payable		4.05	3.69	2.38
Total		5.75	5.14	3.67



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Annexure - VI : Notes to the Audited Consolidated Financial Statements

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Note (20) Revenue from operations

Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
Revenue from operations			
Sale of Services	894.41	951.65	1,073.29
Sale of Products	4,275.08	2,207.87	136.50
Total	5,169.49	3,159.52	1,209.79

Note (21) Other income

Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
Interest Income on Fixed deposit with Bank	2.37	3.30	1.80
Interest Income on Security deposit with AVVNL, debtors and Income tax refund	3.75	0.67	0.40
Store spares & chemical Sale	0.11	1.17	1.10
Other income	0.24	-	0.01
Total	6.47	5.14	3.31



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Note (22) Cost of materials consumed

Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
Opening stock	491.25	52.40	61.71
Add: Purchases	3,512.41	2,616.67	520.12
Less: Closing stock	942.71	491.25	52.40
Cost of material consumed	3,060.95	2,177.82	529.43
Material consumed comprises:			
Dyes & Chemicals	400.98	293.62	212.62
Yarn	1,326.73	116.55	-
Fabric	1,032.05	1,543.15	134.32
Coal & Fuel	301.19	224.50	182.49
Total	3,060.95	2,177.82	529.43

Note (23) Purchase of Stock in Trade

Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
Finished fabric	78.97	14.60	5.36
Total	78.97	14.60	5.36

Note (24) Changes in inventories of finished goods, work-in-progress and stock-in-trade

Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
Inventories at the beginning of the year:			
Finished goods	78.41	75.65	28.84
Work in progress	17.33	22.35	20.00
Finish Fabric	377.91	30.19	27.32
	473.65	128.19	76.16
Inventories at the end of the year:			
Finished goods	58.42	78.41	75.65
Work in progress	25.07	17.33	22.35
Finish Fabric	472.09	377.91	30.19
	555.58	473.65	128.19
Net Increase / (decrease) in inventories	(81.93)	(345.46)	(52.03)

Note (25) Employee benefits expenses

Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
Salaries and Wages (Including Bonus)	434.24	327.05	183.51
Leave encashment and Gratuity	10.31	6.94	4.52
Contributions to Provident and other funds	10.67	8.38	7.53
Staff welfare expenses	28.48	13.93	7.89
Total	483.70	356.30	203.45

Note (26) Finance costs

Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
Interest on:			
Term Loans	87.05	102.11	26.90
Working Capital Loans	109.38	36.52	14.63
Vehicle Loans	2.23	1.53	1.20
Unsecured Loan	4.19	9.72	2.17
Others	0.22	0.28	1.30
Less : Interest subsidy under RIPS policy, 2022	(26.18)	(3.14)	-
Bank processing charges	-	0.23	1.25
Total	176.89	147.25	47.45

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Note (27) : Depreciation and Amortization Expenses

Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
A. Depreciations on Tangible Assets	188.69	173.14	67.97
B. Amortisation of Intangible Assets	1.64	-	-
Total	190.33	173.14	67.97

Note (28) : Other expenses

Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
Operating and Manufacturing Overheads			
Consumption of stores and spare parts	97.69	89.14	78.69
Consumption of packing material	28.01	27.91	18.06
Power Expenses	58.79	68.68	61.54
Effluent Treatment & Water Expenses	23.47	15.26	13.29
Repairs and maintenance - Buildings	1.89	0.58	0.04
Repairs and maintenance - Machinery	10.90	5.39	5.93
Repairs - Others	4.21	0.52	0.19
Job Processing charges & Job Weaving & Sizing Charges	391.25	66.33	-
Total (A)	616.21	273.81	177.74
Establishment Expenses			
Bank Charges	1.62	0.79	0.45
Advertisement Expenses	0.08	0.03	0.06
Membership & Subscription Fees	0.02	1.69	0.01
Festival & Pooja Expenses	0.56	0.31	0.54
Share Issued Expenses	0.03	1.78	-
Donation Expenses	0.11	0.49	0.69
Director Remuneration	20.22	18.00	17.40
Insurance Charges	6.61	2.12	1.75
Legal & Professional Expenses	20.68	16.31	14.45
Office Expenses	0.52	0.73	-
Payment to Auditors (Refer below Note 1)	0.53	0.15	0.08
Printing & Stationary Expenses	0.24	2.19	0.84
Rent Expenses	1.29	0.60	0.93
Rate & Taxes Expenses	0.28	0.37	3.82
Telephone & Internet charges	0.21	0.12	0.16
Sundry Balance Written off	-	-	-
Independent Director Sitting fees	0.26	-	-
Postage & Courier Expenses	3.31	0.99	0.02
CSR Expenses	3.74	1.96	1.25
Sampling & testing Expenses	0.87	-	-
Vehicle Running Expenses	0.27	-	-
Loss on Sale of Fixed Assets	-	-	-
Travelling & conveyance Expenses	4.34	3.24	0.42
Total (B)	65.79	51.87	42.87
Selling and Distribution Expenses			
Freight and forwarding charges	30.18	30.82	17.58
Cash discount	57.88	18.02	3.83
Agency commission	16.47	5.69	-
Total (C)	104.53	54.53	21.41
Total (A+B+C)	786.53	380.21	242.02

Note 1 : Payment to Auditors

Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
Statutory Audit Fees	0.43	0.10	0.05
Tax Audit Fees	0.10	0.05	0.03
	0.53	0.15	0.08

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Note (29) : Income Tax Expenses

Particulars	For the year ended 31st March 2026	For the year ended 31st March 2025	For the year ended 31st March 2024
Tax / TCS Receivables	20.57	20.02	22.09
Advance Income Tax	50.00	30.00	10.00
MAT Credit Entitlement	-	26.28	1.43
Less : Provision for Income Tax	91.38	45.73	29.90
Income Tax Assets / (Provisions)	(20.81)	30.57	3.62

The major components of income tax expense for reporting for tax expense for the reporting years are indicated below:

Particulars	For the year ended 31st March 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
a) Statement of Profit or Loss for the Year Ended			
Current Tax:			
Current tax on Profit for the year	91.38	45.74	29.90
Mat credit (entitlement) / Utilised	26.28	(24.85)	(1.43)
Change / credit in respect of current tax of earlier Year	-	-	-
Total Current Tax	117.66	20.89	28.47
Deferred Tax:			
Origination & reversal of temporary Differences	22.63	54.28	10.03
Charge in Respect of deferred tax for earlier year	-	-	-
Charge in respect of increase / (decrease) in tax rate	-	-	-
Total Deferred Tax	22.63	54.28	10.03
Total Tax Expense / (Credit) For the Year	140.29	75.17	38.50
b) Statement of Comprehensive Income For the Year			
Income tax relating to items that will not be reclassified to profit or loss			
Deferred tax (credit) / charge on:			
Re-measurement of defined benefit obligation	(0.28)	(0.11)	0.24
Income tax relating to items that will be reclassified to profit or loss			
Deferred tax (credit) / charge on:			
Fair Valuation of Mutual Funds			
Fair Valuation of Preference Shares			
Total	(0.28)	(0.11)	0.24

(A) A reconciliation of income tax expense applicable to accounting profits/ (loss) before tax at the statutory income tax rate to be recognised income tax expense for the year indicated are as follows:

Particulars	For the year ended 31st March 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Accounting Profits / (loss) before Tax (A)	480.52	260.80	169.45
Statutory Income Tax Rate (%) (B)	29.12%	27.82%	27.82%
Tax at Indian statutory income tax rate	139.93	72.55	47.14
Accounting Profits / (loss) before Tax (C)	480.52	260.80	169.45
Add: ICDS Adjustments	-	-	-
Add :Disallowances Considered separately under IT. Act. (D)	207.72	186.10	77.15
Less Allowance under the Income Tax Act / Considered Separately / Deduction under Chapter VI (E)	284.21	372.79	149.51
Total PGBP Income (F=C+D-E)	404.03	74.11	97.09
Tax On PGBP (Normal Tax Liability) (G=F*B)	117.65	20.62	27.01
Minimum Alternate Tax (MAT)			
Book profit as per MAT	480.52	260.80	169.45
Less : Business Loss (if any)	-	-	-
Net Book profit as per MAT	480.52	260.80	169.45
Tax as per MAT	83.96	45.57	29.61
Tax Expenses = MAT or Normal Provision of Income Tax w.e. is higher	117.65	45.57	29.61
Tax Paid as per "MAT" or Normal Provision	Normal	MAT	MAT
Tax provision as per taken in Audited P&L as per audited balance sheet	117.66	45.74	29.90



SONASELECTION INDIA LIMITED

(CIN : U17299RJ2022PLC079631)

Registered Office: 18Th K M Stone, Chittorgarh Road, Hamirgarh, Bhilwara, Bhilwara, Rajasthan, India, 311025

Annexure - VI : Notes to the Audited Consolidated Financial Statements

(All amounts in ₹ Million, except as otherwise stated)

(B) Movement in Deferred Tax Assets and Liabilities

The movement in deferred tax assets and liabilities for the year ended 31st March, 2026

Particular	As at 31st March 2025	Charge / (Credited) To P&L	Charged / (Credited) to OCI/OCI Reserve	As at 31st March 2026
Deferred Tax Assets:				
Provision for Gratuity Expenses & Leave Encashment	(4.39)	(2.37)	0.28	(7.04)
Deferred Tax Liabilities:				
Property, Plant & Equipment	131.70	25.56	-	157.26
Total	127.31	23.19	0.28	150.22

The movement in deferred tax assets and liabilities for the year ended 31st March, 2025

Particular	As at 31st March 2024	Charge/(Credited) To P&L	Charged /(Credited) to OCI/OCI Reserve	As at 31st March 2025
Deferred Tax Assets:				
Provision for Gratuity Expenses & Leave Encashment	(2.49)	(2.00)	(0.11)	(4.39)
Deferred Tax Liabilities:				
Property, Plant & Equipment	75.41	56.28	-	131.70
Total	72.92	54.28	(0.11)	127.31

The movement in deferred tax assets and liabilities for the year ended 31st March, 2024

Particular	As at 31st March 2023	Charge/(Credited) To P&L	Charged /(Credited) to OCI/OCI Reserve	As at 31st March 2024
Deferred Tax Assets:				
Provision for Gratuity Expenses & Leave Encashment	(0.93)	(1.33)	0.24	(2.49)
Deferred Tax Liabilities:				
Property, Plant & Equipment	64.06	11.35	-	75.41
Total	63.13	10.03	0.24	72.92

NOTE 30: STATEMENT OF OTHER COMPREHENSIVE INCOME

Particulars	For the year ended 31st March 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
(i) Items that will not be reclassified to profit or loss			
Actuarial gain/(Loss) on employee benefits	0.97	0.37	(0.81)
Gain/(Loss) on Fair Valuation of Investment in Equity Shares			
TOTAL (i)	0.97	0.37	(0.81)
(ii) Income tax relating to items that will not be reclassified to profit or loss			
On Actuarial gain on employee benefits	(0.28)	(0.11)	0.24
Gain on Fair Valuation of Investment in Equity Shares			
TOTAL (ii)	(0.28)	(0.11)	0.24
(iii) Items that will be reclassified to profit or loss	-	-	-
TOTAL (iii)	-	-	-
(iv) Income tax relating to items that will be reclassified to profit or loss	-	-	-
TOTAL (iv)	-	-	-
Total	0.69	0.26	(0.57)



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(All amounts in ₹ Million, except as otherwise stated)**Note 31: Earnings per share (EPS)**

Basic Earnings per share ('EPS') amounts are calculated by dividing the Profit/(loss) for the year attributable to equity holders of the Company by the weighted average number of equity shares outstanding during the year

Diluted EPS amounts are calculated by dividing the Profit/(loss) attributable to equity holders of the Company by the weighted average number of equity shares outstanding during the year plus the weighted average number of equity shares that would be issued on conversion of all the dilutive potential equity shares into equity shares.

The following is a reconciliation of the equity shares used in the computation of basic and diluted earnings per equity share

i. Profit/(Loss) attributable to Equity holders

Particulars	For the Year ended 31 March, 2026	For the Year ended 31 March, 2025	For the Year ended 31 March, 2024
Profit/(Loss) after tax	340.23	185.63	130.95

ii. Weighted average number of ordinary shares

Particular	As at 31st March, 2026	As at 31st March, 2025	As at 31st March, 2024
Ordinary shares at the beginning of the year excluding Bonus share impact	15,874,145	3,100,000	3,100,000
Bonus Shares issued during the year	25,398,632	12,400,000	-
Shares post Bonus	41,272,777	15,500,000	3,100,000
Shares issued and allotted during the year	-	374,145	-
Shares issued and allotted pursuant to conversion of CCDs (Refer Note 4)	483,040	-	-
Bonus Shares issued on equity shares issued pursuant to conversion of CCDs as above	772,864	-	-
Time Adjustment factor	0.61	0.35	-
Weighted Average Number of shares during the year	42,038,878	15,630,951	3,100,000
Bonus Adjustment Factor			
For Bonus during year ended 31st March, 2025 (Allotted on 25th October 2024) (Note 1)	-	-	5.00
For Bonus allotted on 10th November, 2025 (Note 2)	-	2.60	2.60
** Weighted average number of shares after proposed issue of Bonus Shares for calculation of Basic EPS	42,038,878	40,640,472	40,300,000
Add Dilution on account of Compulsory Convertible Debentures (CCDs) (Note 3)	-	680,281	-
Weighted average number of shares after proposed issue of Bonus Shares for calculation of Diluted EPS	42,038,878	41,320,753	40,300,000
Basic earnings per share (in ₹) After proposed issue of Bonus Shares	8.09	4.57	3.25
Diluted earnings per share (in ₹) After proposed issue of Bonus Shares	8.09	4.49	3.25

** Weighted average number of shares adjusted from the earliest year presented as per IND AS 33

Note 1 : For bonus allotted during the year ended 31st March, 2025 (Allotted on 25th October 2024) at the Ratio of 4 new shares for every one share held on record date (4+1=5)

Note 2 : For bonus allotted on 10th November, 2025 at the Ratio of 16 new shares for every 10 share held on record date (1.60+1=2.60).



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Note 3 : Diluted number of Equity shares on account of conversion of CCD

Particular	As at 31st March ,2026	As at 31st March ,2025	As at 31st March ,2024
Number of CCDs outstanding	-	96,608	-
Conversion Ratio - 5:1 (Refer Note 4 Below)	-	5	-
Bonus adjustment factor for bonus shares allotted on 10th November, 2025		2.60	
Total Number of months in the year	-	12	-
Total Number of months CCDs held	-	6.50	-
Diluted number of Equity shares issued on account of conversion of CCDs	-	680,281	-

Note 4 : The Company had issued 96,608 Compulsorily Convertible Debentures (CCDs) at a face value of ₹10 each at a premium of ₹725 per debenture, aggregating to ₹71.01 Million on 16th September, 2024. The CCDs were mandatorily convertible into Equity Shares at a ratio of 1:1 (one Equity share for each CCD held) within 18 months of issue. In accordance with terms of the issue, these CCDs were converted into Equity Shares on 20th August, 2025. However, as the company had issued bonus shares during the year ended March 31, 2025 in the ratio of 4:1 (four bonus shares for every one share held), the company had allotted Equity shares to CCD holders in the ratio of 5:1 (one equity share and four bonus shares for each CCD held), resulting in the allotment of 4,83,040 Equity Shares of the Company.



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NOTE 32: DIFFERENCES BETWEEN IND AS & INDIAN GAAP

A) PRINCIPAL DIFFERENCES BETWEEN IND AS AND INDIAN GAAP

I. Deferred Tax

The Company has accounted for deferred tax on the various adjustments between Indian GAAP and IND AS at their effective tax rate.

II. Defined Benefit Obligation

Under previous GAAP, Company has been charging the remeasurement (gain)/loss of employee benefits to profit and loss account whereas under Ind AS financial statements such (gain) /loss is accounted in Statement of Other Comprehensive Income along with the corres impact.

III. Prior year Items

Under Indian GAAP, the impact of prior year items is required to be included in current year statement of profit and loss. However as per Ind AS-8 an entity is required to correct prior year errors retrospectively by restating the comparative amounts for the prior year presented in which the error occurred. if the error occurred before the earliest prior year presented, it will restate the opening balance of assets and equity for the earliest prior year presented.



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NOTE 33 : RATIO ANALYSIS

Particulars	Numerator	Denominator	As At 31st March 2026	As At 31st March 2025	As At 31st March 2024
Current Ratio(in times)	Current Assets	Current Liabilities	1.28	1.21	1.23
Debt-Equity Ratio(in times)	Total Debt	Total Shareholder's Equity	2.48	2.96	3.72
Debt Service Coverage Ratio(in times)	Profit after tax for the year+ Finance Costs + Depreciation	Finance Cost + Lease Payment + Current maturity of Long Term Debt (excluding impact of foreign exchange gain/loss)	1.70	1.58	1.81
Return on Equity (ROE)(%)	Profit for the year	Average Shareholder's Equity	39.05%	34.08%	40.46%
Inventory Turnover Ratio (in times)	Sales (Revenue from operation)	Average Inventory	4.12	5.44	7.18
Trade receivables turnover ratio(in times)	Sales (Revenue from operation)	Average Trade Receivable	5.96	7.55	8.39
Trade payables turnover ratio (in times)	Net Credit Purchases	Average Trade Payable	4.62	6.41	6.81
Net working capital turnover ratio(in times)	Sale of Products	Average Working Capital	10.67	14.28	12.68
Net profit ratio(%)	Profit for the year	Sale of Products	6.58%	5.88%	10.82%
Return on capital employed (ROCE)(%)	Profit Before Tax + Finance Costs	Avg Total Equity + AVG Total Borrowings (Current & Non Current)+ Net Avg DTL	19.69%	16.97%	16.18%
Return on investments(%)	Interest/dividend Income	Average Investment+loans given	NA	NA	NA



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Change in Ratio in Comparison to Corresponding previous Year

Ratio	As At 31st March 2026	As At 31st March 2025	As At 31st March 2024
Current Ratio(in times)	5.16%	(1.07)%	(5.86)%
Debt-Equity Ratio(in times)	(16.24)%	(20.42)%	112.61%
Debt Service Coverage Ratio(in times)	7.38%	(12.57)%	25.92%
Return on Equity (ROE)(%)	14.61%	(15.79)%	170.56%
Inventory Turnover Ratio(in times)	(24.27)%	(24.26)%	11.79%
Trade receivables turnover ratio(in times)	(21.04)%	(9.95)%	32.74%
Trade payables turnover ratio(in times)	(27.97)%	(5.87)%	(5.77)%
Net working capital turnover ratio(in times)	(25.25)%	12.59%	(63.22)%
Net profit ratio(%)	12.02%	(45.72)%	305.15%
Return on capital employed (ROCE)(%)	16.07%	4.88%	(50.51)%
Return on investments(%)	NA	NA	NA

Explanation Of change in ratio more than 25%

March 31,2026

Decrease in Trade Payable Turnover Ratio due to decrease in trade payable in comparison of increase in purchases
Decrease in Net Working Capital Ratio due to increase in net working capital

March 31,2025

Decrease in Net Profit Ratio due to increase in tax expense of the company.

March 31,2024

Increase in Debt-Equity Ratio due to increase in Term Loan from HDFC Bank
Increase in DSCR due to increase in profitability
Increase in ROE due to increase in profitability
Increase in Trade Receivable Ratio due to decrease in trade receivables and increase in overall operations
Decrease in working capital Ratio due to increase in net working capital
Increase in Net Profit Ratio due to increase in Profitability



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NOTE 34 : RELATED PARTY DISCLOSURES**Subsidiaries**

Sionnah Enterprises Private Limited (Incorporated on 1st July, 2025.) (Refer Note 52 subsequent Events for further details)

Key Managerial Personnel

Name	Relationship
Harshil Nuwal	Managing Director (from 11th February, 2022)
Subhash Chandra Nuwal	Director (from 11th February, 2022)
Uma Nuwal	Director (from 11th February, 2022)
Ramesh Chandra Vyas	Chief Financial Officer (from 03th February, 2025)
Harish Sharma	Company Secretary (from 25th October, 2024)

Relatives

Name	Relationship
Deepank Bhandari	Director's Relative

Independent Directors

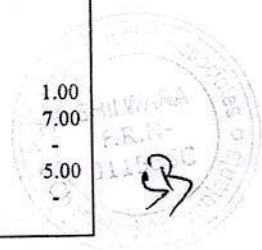
Name	Relationship
Kamlesh Kumar Choudhary	Independent Director (from 30th September, 2025)
Kanhaiya Lal Acharya	Independent Director (from 18th January, 2025)
Aditi Kakhani	Independent Director (from 18th January, 2025)

Enterprises where directors having significant influence

Sona Styles Limited
Sona Processors India Limited
Sona Textfab Private Limited
Starnet Real Estate & project Limited

Following transactions were carried out with related parties in the ordinary course of Business

Transaction Type / Party	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Remuneration to Key Managerial Personnel			
Harshil Nuwal	14.25	12.00	11.60
Uma Nuwal	6.00	6.00	5.80
Ramesh Chandra Vyas	0.63	0.52	0.68
Harish Sharma	0.79	0.29	-
Professional Fees			
Deepank Bhandari	12.00	12.00	12.00
Sitting Fees Paid to Independent Directors			
Kanhaiya Lal Acharya	0.01	-	-
Aditi Kakhani	0.01	-	-
Interest Payment			
Uma Nuwal	0.84	0.04	-
Harshil Nuwal	3.93	2.72	-
Subhash Nuwal	0.36	-	-
Repayment of Loans			
Uma Nuwal	12.95	-	1.00
Harshil Nuwal	187.57	99.00	7.00
Deepank Bhandari	-	20.00	-
Subhash Nuwal	14.96	41.20	5.00
Starnet real Estate & project Limited	1.00	-	-



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Transaction Type / Party	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Loan taken			
Uma Nuwal	17.87	-	5.00
Harshil Nuwal	136.20	72.30	128.10
Deepank Bhandari	-	22.00	51.00
Subhash Nuwal	19.32	24.20	22.00
Starnet real Estate & project Limited	-	1.00	-
Sales and Other Income			
Sona Styles Limited	28.79	29.76	117.92
Sona Texfab Private Limited	-	-	9.29
Sona Processors India Limited	2.97	8.42	4.72
Purchase and job processing charges			
Sona Texfab Private Limited	-	1.67	0.51
Sona Styles Limited	249.10	1,206.40	2.13
Sona Processors India Limited	63.23	35.12	0.24
Business Transfer			
Sona Processors India Limited	-	-	-
Rent Expense			
Sona Processors India Limited	-	-	-

Following were the balances outstanding with related parties in the ordinary course of Business at the end of Following years

Related Party	As at 31st March, 2026	As at 31st March, 2025	As at 31st March, 2024
Borrowing Payable			
Uma Nuwal	8.92	4.00	4.00
Harshil Nuwal	43.03	94.40	121.10
Deepank Bhandari	53.00	53.00	51.00
Subhash Nuwal	4.36	-	17.00
Starnet real Estate & project Limited	-	1.00	-
Payable / (Advance to suppliers)			
Sona Styles Limited	24.98	430.51	-
Sona Texfab Private Limited	-	1.75	-
Sona Processors India Limited	11.10	(0.76)	-
Deepank Bhandari	10.80	1.08	3.00
Receivable / (Advance from customers)			
Sona Styles Limited	5.42	0.14	11.03
Sona Texfab Private Limited	-	(0.23)	0.01
Sona Processors India Limited	-	(0.34)	0.29



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The following are the details of the transactions which were eliminated upon consolidation as per Ind AS 110 and Ind AS 24 read with SEBI ICDR Regulations, 2018 during the year/year ended 31 March 2026, 31 March 2025 and 31 March 2024 respectively

Particulars	As at 31st March, 2026	As at 31st March, 2025	As at 31st March, 2024
Revenue from operations			
Sionnah Enterprises Private Limited	19.65	-	-
Investment in Subsidiaries			
Sionnah Enterprises Private Limited	22.60	-	-
Unsecured Loan given			
Sionnah Enterprises Private Limited	12.26	-	-

Particulars	As at 31st March, 2026	As at 31st March, 2025	As at 31st March, 2024
Balances at the year end			
Trade Receivables			
Sionnah Enterprises Private Limited	20.64	-	-

Terms and conditions of transactions with related parties

The transactions with related parties are made in the ordinary business and on terms equivalent to those that prevail in arm's length transactions. This assessment is undertaken each financial year through examining the financial position of the related party and the market in which the related party operates.



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NOTE 35 : DETAILS OF CORPORATE SOCIAL RESPONSIBILITY

Particulars	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Gross Amount Required to be spent as per Sec 135 of Companies Act, 2013	3.64	1.93	1.21
Amount Spent During the year on :			
Donating Funds to Trust	3.74	1.96	1.25
Short / (Excess)	(0.10)	(0.03)	(0.04)
Opening B/F-short/(Excess)	(0.08)	(0.04)	-
Net C/F -Short/(Excess)	(0.18)	(0.08)	(0.04)

Other Disclosure Related to CSR

Particulars	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Promoting healthcare including preventive healthcare	1.04	1.35	1.25
Promoting education, cultural, moral development activities and preservation of traditional art and culture	2.70	0.61	-



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NOTE 36 : CAPITAL MANAGEMENT

The Company's objectives when managing capital is to safeguard continuity, maintain a strong credit rating and healthy capital ratios in order to support its business and provide adequate return to shareholders through continuing growth and maximise the shareholders value. The Company's overall strategy remains unchanged from previous year. The Company sets the amount of capital required on the basis of annual business and long-term operating plans which include capital and other strategic investments. The funding requirements are met through a mixture of equity, internal fund generation and borrowed funds. The Company's policy is to use short term and long-term borrowings to meet anticipated funding requirements. The Company monitors capital on the basis of the net debt to equity ratio. The Company's is not subject to any externally imposed capital requirements. Net debt are long term and short term debts as reduced by cash and cash equivalents (including restricted cash and cash equivalents) and short-term investments. Total Equity comprises all components of equity.

The following table summarizes the capital of the Company:

Particular	As at 31st March, 2026	As at 31st March, 2025	As at 31st March, 2024
Share Capital	425.29	158.74	31.00
Other Equity	616.34	541.97	357.81
Total Equity (A)	1,041.63	700.71	388.81
Cash and Cash equivalents	23.81	2.15	41.40
Other Bank balance	26.15	53.40	44.76
Total Cash & Bank Balances (B)	49.96	55.55	86.16
Short term Borrowing	1,319.01	766.25	328.42
Long Term Borrowings	1,263.39	1,307.72	1,117.60
Total debt (C)	2,582.40	2,073.97	1,446.02
Net Debt (D=(C-B))	2,532.44	2,018.42	1,359.86
Net Debt to Equity ratio (E=D/A)	2.43	2.88	3.50



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NOTE 37: EMPLOYEE BENEFIT

As per the Indian Accounting Standard (Ind AS 19) " Employee benefits " , the disclosures as defined are given below:

A) Defined contribution Plan:

Particulars	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Employer's Contribution to Provident fund (EPF)	9.48	7.45	6.43
Employer's Contribution to Employee state Insurance fund (ESIC)	1.19	0.93	1.10
Total	10.67	8.38	7.53

B) Defined Benefit Plan

I) Gratuities benefits

1.1 (a) Changes in Present Value of Obligation during the year

Particulars	Gratuity			Leave Encashment		
	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Defined Benefit Obligation at the beginning of the year	7.49	4.43	1.52	7.60	4.09	1.67
Acquisition adjustment						
Interest cost	0.51	0.31	0.11	0.51	0.28	0.12
Current service cost	6.23	3.12	1.99	3.69	2.78	1.48
Past service cost	-	-	-	-	-	-
Actuarial (Gains) / Losses	(0.97)	(0.37)	0.81	(0.64)	0.45	0.82
Benefits paid	-	-	-	(0.20)	-	-
Defined Benefit obligation as at the year ended	13.26	7.49	4.43	10.97	7.60	4.09



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1.1 (b) Bifurcation of Total Actuarial (gain)/loss on Liabilities

Particulars	Gratuity			Leave Encashment		
	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Actuarial gain / losses from Changes in Demographic assumptions (mortality)	-	-	-	-	-	-
Actuarial gain / losses from Changes in Financial assumptions	(2.69)	0.13	0.23	-	-	-
Experience Adjustments (gain)/ loss for Plan liabilities	1.71	(0.50)	0.58	-	-	-
Total amount recognized in other comprehensive income	(0.97)	(0.37)	0.81	-	-	-

1.2 Key results (The amount to be recognised in balance sheet :

Particulars	Gratuity			Leave Encashment		
	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Present value of obligation at the end of year	13.26	7.49	4.43	10.97	7.60	4.09
Fair value of plan assets at end of year	-	-	-	-	-	-
Net liability / (assets) recognised in Balance sheet & related analysis	13.26	7.49	4.43	10.97	7.60	4.09
Funded Status - (Surplus) / Deficit	13.26	7.49	4.43	10.97	7.60	4.09



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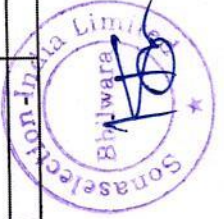
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1.3 (a) Expenses Recognized during the year in the statements of Profit & Loss

Particulars	Gratuity			Leave Encashment		
	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Interest cost defined benefit obligation	0.51	0.31	0.11	0.51	0.28	0.12
Current Service Cost	6.23	3.12	1.99	3.69	2.78	1.48
Past Service Cost	-	-	-	-	-	-
Net Actuarial Losses / (Gains)	-	-	-	(0.64)	0.45	0.82
Expected Return on Plan Asset	-	-	-	-	-	-
Total expense/(Income) included in " Employee benefit Expenses"	6.75	3.43	2.10	3.56	3.51	2.42

1.3 (b) Expenses recognised during in the statement of Other Comprehensive Income (OCI)

Particulars	Gratuity			Leave Encashment		
	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Amount Recognized in OCI, beginning of year	0.44	0.81	-	-	-	-
Opening Cumulative Actuarial (Gain)/Loss B/f	-	-	-	-	-	-
Actuarial (Gain) / losses - Obligation	(0.97)	(0.37)	0.81	-	-	-
Actuarial (Gain) / losses - Plan Asset	-	-	-	-	-	-
Total Actuarial (Gain) / losses	(0.54)	0.44	0.81	-	-	-
Cumulative total Actuarial (Gain)/ Losses -C/f						



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1.3(c) Net interest Costs

Particulars	Gratuity			Leave Encashment		
	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Interest cost defined benefit obligation	0.51	0.31	0.11	0.51	0.28	0.12
Interest income of Plan Asset	-	-	-	-	-	-
Net interest Cost (income)	0.51	0.31	0.11	0.51	0.28	0.12

1.4 Experience Adjustments

Particulars	Gratuity			Leave Encashment		
	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Experience Adjustment (Gain) / loss for Plan Liabilities	-	-	-	-	-	-
Experience Adjustment (Gain) / loss for Plan Assets	-	-	-	-	-	-



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2.1 Summary of membership data of valuation & statistics based thereon

Particulars	Gratuity		Leave Encashment		
	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2024
Number of Employee	651.00	475.00	303.00	535.00	303.00
Total monthly Salary (in Million)	16.13	10.97	5.92	13.06	5.92
Average Past Service(Years)	24,771.00	23,092.00	19,541.00		
average Future Service (Years)	33.91	36.32	37.97	-	-
Average Years	1.67	1.28	1.43	-	-
Expected Future Service taking into account Decrements (Years)	22.48	20.65	19.38	-	-
Average Age (years)	-	-	-	33.91	37.97
Average Past Service (Years)	-	-	-	1.67	1.43
Total Leave Balance (Days0	-	-	-	8940	3307
Average Leave Balance	-	-	-	13.73	10.91

2.2 Actuarial Assumptions

Particulars	Gratuity		Leave Encashment	
	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2024
Discount Rate (per annum)	7.85%	6.95%	7.85%	6.95%
Salary Escalation rate (per annum)	7.00%	7.00%	7.00%	7.00%



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Mortality	Indian Assured Lives Mortality (2012-14) Uit.	Indian Assured Lives Mortality (2012-14) Uit.	Indian Assured Lives Mortality (2012-14) Uit.	Indian Assured Lives Mortality (2012-14) Uit.	Indian Assured Lives Mortality (2012-14) Uit.
Withdrawal Rate (Per annum)	1.00%	1.00%	1.00%	1.00%	1.00%
Retirement Age	60 Years	60 Years	60 Years	60 Years	60 Years

2.3 Benefits Valued

Particulars	Gratuity		Leave Encashment	
	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2024
Normal Retirement Age	60 years	60 years	60 years	60 years
Basic Salary	Last drawn Basic salary	Last drawn Basic salary	Monthly Basic salary	Monthly Basic salary
Vesting year	5 years on Retirement & Withdrawal	5 years on Retirement & Withdrawal	None	None
Benefits on Normal Retirement	15/26 * Last Drawn Qualifying salary * Services	15/26 * Last Drawn Qualifying salary * Services	Last Drawn Qualifying salary/ 30 * Leave Balance Services	Last Drawn Qualifying salary/ 30 * Leave Balance Services
Benefits on early exit due to death and other	Same as Retirement Benefits	Same as Retirement Benefits	Same as Retirement Benefits	Same as Retirement Benefits
Limit	No Limit	No Limit	No Limit	No Limit



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2.4 Current Liability (*Expected Payout in next year as per Schedule III of Companies Act ,2013)

Particulars	Gratuity		Leave Encashment		
	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Current Liability (short term)	0.03	0.02			
Non Current Liability (Long Term)	13.23	7.47	0.01	1.89	0.21
Liability / (asset) recognized in balance sheet	13.26	7.49	4.41	9.08	3.89
			4.42	10.97	4.10

3. Sensitivity Analysis

Particulars	Gratuity		Leave Encashment	
	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025
Defined Benefit Obligation – Discount Rate +50 Basis Point	-8.51%	-8.53%	-6.65%	-6.83%
Defined Benefit Obligation – Discount Rate -50 Basis Point	9.54%	9.53%	7.40%	7.61%
Defined Benefit Obligation – Salary Escalation Rate +50 Basis Points	9.58%	9.47%	7.43%	7.56%
Defined Benefit Obligation – Salary Escalation Rate -50 Basis Points	-8.61%	8.55%	-6.73%	6.86%



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4.Expected Cash flows for the Next Ten Years

Particulars	Gratuity		Leave Encashment	
	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025
Year - 2027	0.03	0.02	1.89	0.31
Year - 2028	0.24	0.02	0.31	1.37
Year - 2029	0.13	0.07	0.19	0.09
Year - 2030	0.32	0.12	0.36	0.12
Year - 2031	0.38	0.20	0.23	0.21
Year - 2032 to 2036	2.92	1.51	1.98	1.28



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(All amounts in ₹ Million, except as otherwise stated)**NOTE 38: FINANCIAL INSTRUMENTS****Accounting classification and fair values**

The following table shows the carrying amounts and fair values of financial assets and financial liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities not measured at fair value if the carrying amount is a reasonable approximation of fair value.

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that an entity can access at the measurement date.
Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly
Level 3: For assets & liabilities where Fair value is not observable

Particular	Level	Carrying Value			Fair Value		
		As at 31st March, 2026	As at 31st March, 2025	As at 31st March, 2024	As at 31st March 2026	As at 31st March, 2025	As at 31st March, 2024
Financial Assets :							
At Ammortised Cost							
Others Non Current Financial Asset	Level III	8.95	7.57	10.12	8.95	7.57	10.12
Trade Receivables	Level III	1,036.99	696.87	139.87	1,036.99	696.87	139.87
Cash and cash equivalents	Level III	23.81	2.15	41.40	23.81	2.15	41.40
Bank Balances other than above	Level III	26.15	53.40	44.76	26.15	53.40	44.76
Others Current Financial Assets	Level III	274.35	184.56	128.40	274.35	184.56	128.40
Financial Liabilities :							
At Ammortised Cost							
Non Current Borrowings	Level III	1,263.39	1,307.72	1,117.60	1,263.39	1,307.72	1,117.60
Current Borrowings	Level III	1,319.01	766.25	328.42	1,319.01	766.25	328.42
Trade Payables	Level III	812.42	742.42	78.13	812.42	742.42	78.13

NOTE 39 :EARNINGS & EXPENDITURE IN FOREIGN CURRENCY

Particulars	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Income			
Export of Goods	8.50	-	-
Total	8.50	-	-
Expenditure			
Purchase of stores and spare parts	-	2.53	1.14
Total	-	2.53	1.14



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NOTE 40 : FINANCIAL RISK MANAGEMENT

The Company's board of directors has overall responsibility for the establishment and oversight of the Company's risk management framework. The Company's risk management policies are established to identify and analyze the risks faced by the Company, to set appropriate risk limits and controls and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Company's activities. The Company, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations.

Risk	Exposure arising from
Credit Risk	Cash and cash equivalents, bank balances other than cash and cash equivalents, trade receivables and other financial assets measured at amortised cost.
Liquidity Risk	Borrowings, trade payables and other financial liabilities
Market Risk	Receivables and payables denominated in foreign currency

1. Credit Risk

The Company is exposed to credit risk primarily from cash and cash equivalents, bank deposits, trade receivables, and other financial

2. Liquidity Risk

Liquidity risk is the risk that the Company may not be able to meet its financial obligations as they fall due, without incurring significant losses. The Company manages liquidity risk by maintaining adequate reserves, banking facilities, and by continuously monitoring forecast and actual cash flows.

i. **Cash Flow Management:** The Company continuously monitors its cash flow requirements to ensure that it has sufficient liquidity to meet its operational and financial obligations, including trade payables, financial liabilities, and tax obligations. Regular cash flow forecasting is performed to assess the timing and amount of future cash inflows and outflows.

ii. **Access to Credit Facilities:** The Company has access to various credit facilities from banks, which provide flexibility to meet short-term and long term liquidity needs.

iii. **Maturity Analysis of Financial Liabilities:** The Company has established procedures to regularly monitor and assess the maturity profile of its financial liabilities, including trade payables, loans, and other financial obligations. The maturity analysis helps ensure that the Company has enough liquidity to meet these obligations in a timely manner.

iv. **Cash and Cash Equivalents:** The Company maintains a sufficient level of cash and cash equivalents to manage day-to-day operational expenses and meet unforeseen liquidity requirements. This liquidity buffer is designed to prevent disruptions to business operations due to short-term liquidity shortages.

As at 31st March 2026	Less than 1 year	1 - 5 Years	Due after 5 Years	Total
Non Derivatives				
Long Term Borrowings from Related Party	-	-	109.31	109.31
Borrowings from Bank	1,319.01	1,084.60	18.89	2,422.50
Trade Payables	812.42			812.42

As at 31st March 2025	Less than 1 year	1 - 5 Years	Due after 5 Years	Total
Non Derivatives				
Long Term Borrowings from Related Party	-	-	152.40	152.40
Borrowings from Bank	766.25	1,004.78	125.54	1,896.57
Trade Payables	742.42			742.42

As at 31st March 2024	Less than 1 year	1 - 5 Years	Due after 5 Years	Total
Non Derivatives				
Long Term Borrowings from Related Party	-	-	193.10	193.10
Borrowings from Bank	328.42	782.37	137.13	1,247.92
Trade Payables	78.13			78.13



3. Market Risk

a) Foreign Currency Risk

The Company undertakes limited transactions denominated in foreign currencies; consequently, exposures to exchange rate fluctuations arise. The Company's exposure to currency risk relates primarily to the Company's operating activities when transactions are denominated in a different currency from the Company's functional currency. The Company has not taken derivative instruments to hedge the foreign currency risk. The Company continuously monitors the fluctuations in currency risk and ensures that the company does not have adverse impact on account of fluctuation in exchange rate.

As at the end of year, there were no Trade Receivable and Trade Payables outstanding in foreign currency. Hence, sensitivity analysis with respect to foreign exchange risk is not require.

b) Interest Rate Risk

Interest rate risk primarily arises from floating / fixed rate borrowing, including various short-term and long-term loan. Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company's exposure to the risk of changes in market interest rates arises on borrowings with floating interest rate from banks.

The exposure of borrowing to interest rate changes at the end of the reporting years are as follows:

Particulars	As at 31st March, 2026	As at 31st March, 2025	As at 31st March, 2024
Fixed Rate Borrowings :			
Vehicle Loans from Banks	36.09	19.13	17.25
Loans & Advances from Related Parties	109.31	152.40	193.10
Loans & Advances from others	50.59	25.00	5.00
Variable Rate Borrowings :			
Term Loans from Banks	1,307.86	1,284.50	991.25
Loan from banks repayable on demand	1,078.55	592.94	239.42

Fixed rate borrowings are carried at amortized cost. They are, therefore, not subject to interest rate risk as defined in Ind-AS 107, since neither the carrying amount nor the future cash flows will fluctuate because of a change in market interest rates.

Profit or loss is sensitive to higher/lower interest expense from variable rate borrowings as a result of changes in interest

Particulars	As at 31st March, 2026	As at 31st March, 2025	As at 31st March, 2024
Interest rate - Increase by 50 basis points	11.93	9.39	6.15
Interest rate - Decrease by 50 basis points	(11.93)	(9.39)	(6.15)



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NOTE 41 : OTHER RELEVANT DISCLOSURES

Additional regulatory information required by Schedule III of Companies Act, 2013:

A. Balance of Debtors & Creditors & Loans & advances taken are subject to confirmation and consequential adjustments, if any. Debtors & creditors balance has been shown separately and the advances received and paid from/to the parties is shown as advance from customer and advance to suppliers.

B. The company has no transactions, which are not recorded in the books of accounts and which are surrendered or disclosed as income during the year in the tax assessment or in search or survey or under any other relevant provision of the Income Tax Act, 1961.

C. The Company has not traded or invested in crypto currency or virtual currency for the for the year ended March 31, 2026, March 31, 2025, March 31, 2024.

D. The Company did not have any transaction with companies that are struck off under section 248 of the Companies Act, 2013 or section 560 of the Companies Act, 1956 during the year ended March 31, 2026, March 31, 2025 and March 31, 2024

E. The company has not been declared as willful defaulter by any bank or from any other lender during the year ended March 31, 2026, March 31, 2025 and March 31, 2024.

F. The company has registered all the charges which are required to be registered under the terms of the loan and liabilities and submitted Documents with ROC within the year as required by Companies Act, 2013.

G. The Company have not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall: (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or (b) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

H. The Company have not given any fund to any person(s) or entity(ies), including foreign entities (Receiving Party) with the understanding (whether recorded in writing or otherwise) that the Receiving Party shall: (a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries) or (b) provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.

I. The Company is in compliance with the number of layers prescribed under clause (37) of section 2 of the Companies Act, 2013 read with the Companies (Restriction on number of Layers) Rules, 2017 (as amended).

J. The Company does not hold any benami property, and no proceedings have been initiated or are pending against the Company under the Prohibition of Benami Property Transactions Act, 1988.

K. The Company has taken working capital loans from various Banks. Company has filed quarterly statements of Current Assets with the banks that are in principle in agreement with the books of accounts.

L. The Company has covered under this Act do not have any transactions with companies struck off



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Note 42 : Revenue from Contracts with Customers

a) The Disaggregation of Revenue from Customers are given below

Particulars	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Sale of Products	4,275.08	2,207.87	136.50
Sale of Services	894.41	951.65	1,073.29
Total Revenue from Contracts with Customers	5,169.49	3,159.52	1,209.79

Timing of Revenue Recognition	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Goods Transferred at a Point of Time.	4,275.08	2,207.87	136.50
Services Transferred Over Time	894.41	951.65	1,073.29
Total Revenue from Contracts with Customers	5,169.49	3,159.52	1,209.79



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Geographical Disaggregation	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Sales Outside India	8.50	-	-
Sales in India	5,160.99	3,159.52	1,209.79
Total	5,169.49	3,159.52	1,209.79

Revenue Disaggregation by Customer Type	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Government	-	-	-
Non-Government	5,169.49	3,159.52	1,209.79
Total	5,169.49	3,159.52	1,209.79

Contract Balances	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Trade Receivables	1,036.99	696.87	139.87
Contract Assets	-	-	-
Contract Liabilities	-	-	-

Note : None of the customers who contribute 10% or more of total revenue from operation during the year.



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(All amounts in ₹ Million, except as otherwise stated)**NOTE 43 : LOANS & ADVANCES TO PROMOTERS , DIRECTORS,KMP & THEIR RELATED PARTIES**

During the reporting year, the Company has not granted any loans, advances in the nature of loans, or provided any guarantees or securities to any of its directors, promoters, key managerial personnel, or their relatives, whether jointly or severally.

Furthermore, there are no outstanding balances in respect of any such transactions from previous years. The Company has complied with the applicable provisions of the Companies Act, 2013 and relevant regulations issued by statutory authorities in this regard.

NOTE 44: CONTINGENT LIABILITIES & COMMITMENTS (To the Extent Not Provided For)

Particulars	As at 31st March, 2026	As at 31st March, 2025	As at 31st March, 2024
Contingent Liability-			
Claims Against the company not acknowledged as debt	-	-	-
Commitments-			
In respect of Procurement of capital goods under Zero duty Export Promotion Capital Goods Scheme of Foreign Trade Policy, 2023, the company has an export obligation, which is required to be fulfilled at different dates, on or before 24.06.2031. In the event of non-fulfillment of the export obligation, the company will be liable to pay custom duties and penalties, as applicable.	200.05	191.86	183.63

Note: The Company has certain disputes, lawsuits and claims, which arise in from time to time in the ordinary course of business. The amount in some of the cases can not be ascertained and in some cases not material.

NOTE 45: PRIOR PERIOD ITEMS ALONG WITH IMPACT ANALYSIS

As per IND AS 8 an entity is required to correct prior year error retrospectively by restating the comparative amounts for the prior year presented in which the error occurred. If the error occurred before the earliest prior year presented, it will restate the opening balance of assets, liabilities and equity for the earlier prior year presented. Therefore, in terms of provisions of IND AS 8, the impact of the prior year items identified in the current year and relating to the previous year have been Audited and for the year before the last comparative year shown have been adjusted in the opening balance of retained earnings.

Particulars	As at 31st March, 2026	As at 31st March, 2025	As at 31st March, 2024
Short Provision of Tax	-	-	-
Total Impact on Profit /Reserve	-	-	-
Increase / (Decrease) in EPS (In ₹)	-	-	-



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NOTE 46 : EVENTS OCCURRING AFTER THE BALANCE SHEET DATE

The Company evaluates events and transactions that occur subsequent to the balance sheet date but prior to approval of the financial statements to determine the necessity for recognition and/or reporting of any of these events and transaction in the financial statements.

Events Required Adjustments in Financial Statement: Nil.**Non-Adjusting Events:**

(A) Shareholding of Promoters (as at signing date)

Subsequent to the reporting date and as at the date of signing of the Audited Consolidated Financial Statements, the list of promoters and their current shareholding is as follows:

Name of the Promoter	No. of Shares	Shareholding (%)
Deepank Bhandari	17,642,335	41.48%
Sona Polyspin Private Limited	11,765,000	27.66%
Harshil Nuwal	7,259,627	17.07%
Uma Nuwal	13	0.00%
Subhash Chandra Nuwal	-	-

NOTE 47: SEGMENT INFORMATION

A) The principal business of the Company is Processing and Sale of Textile Fabric. All other activities of the Company revolve around its principal business. The Managing Director of the Company has been identified as the Chief Operating Decision Maker (CODM).

The CODM evaluates the Group's performance and allocates resources based on an analysis of various performance indicators of the Company as a single unit. The CODM has concluded that there is only one reportable operating segment, as defined under Ind AS 108 – Operating Segments, i.e., 'Processing of Textile Fabrics'

B) Disaggregation of revenue from operations by geographical area has been provided in Note No. 42

C) All non-current assets of the Group are located within India.

D) Information about Major Customers

The details of single customers who contributed 10% or more to the Company's revenue during the year financial year ended on March 31, 2026, March 31, 2025 and March 31, 2024. are provided in Note No. 42

NOTE 48: PENDING REGISTRATION OF OR MODIFICATION OR SATISFACTION OF CHARGE WHICH REQUIRED TO BE FILED WITH ROC

There are no pending registration or modification or satisfaction of charge at the end of reporting years, which are required to be filed with the Registrar of Companies



SONASELECTION INDIA LIMITED
(CIN : U17299RJ2022PLC079631)

Registered Office: 18th K M Stone, Chittorgarh Road, Hamirgarh, Bhilwara, Rajasthan, India, 311025

Annexure - VI : Notes to the Audited Consolidated Financial Statements
(All amounts in ₹ Million, except as otherwise stated)

NOTE 49: CONTRIBUTIONS TO POLITICAL PARTIES

Disclosure under the section 187(3)

Particulars For	As at 31st March, 2026	As at 31st March, 2025	As at 31st March, 2024
Contribution to political parties	-	-	-

NOTE 50: GENERAL INFORMATION

1. The Consolidated Financial Statements present the Consolidated Accounts of Sonaselection India Limited with its Subsidiary Company:

Name	Country of Incorporation	Proportion of Ownership of Interest
	India	As at 31st March, 2026
Sionnah Enterprises Private Limited		100%
		As at 31st March, 2025
		-

2. Disclosures mandated by Schedule III of the Companies Act 2013, by way of additional information:

Name of the Entity	% of Shares in Net assets		% of Shares in Net Sales		% of Shares in Profit & Loss		% of Shares in Other Comprehensive Income		% of Shares in Total Comprehensive Income	
	%	INR Million	%	INR Million	%	INR Million	%	INR Million	%	INR Million
As at 31st March 2026										
Holding Company										
Sonaselection India Limited	98.10%	4,659.39	99.18%	5,127.00	99.88%	339.82	100.00%	0.69	99.88%	340.51
Wholly-owned Subsidiary										
Sionnah Enterprises Private Limited	3.07%	145.96	1.20%	62.14	0.13%	0.43	0.00%	0	0.13%	0.43
Adjustment arising on consolidation	-1.17%	(55.50)	-0.38%	(19.65)	-0.01%	(0.02)	0.00%	-	-0.01%	(0.02)
	100%	4,749.85	100%	5,169.49	100%	340.23	100.00%	0.69	100%	340.92



SONASELECTION INDIA LIMITED

(CIN : U17299RJ2022PLC079631)

Registered Office: 18Th K M Stone, Chittorgarh Road, Hamirgarh, Bhilwara, Bhilwara, Rajasthan, India, 311025

Annexure - VI :Statement of Adjustments to the Audited Consolidated Financial Statements as at and for the year 31 March 2026 and Special Purpose Ind AS Financial Statements as at and for the years ended 31 March 2025 and 31 March 2024

(All amounts in ₹ Million, except as otherwise stated)

NOTE 51: Statement of Adjustments to Audited Consolidated Financial Statements and Special Purpose Ind AS Consolidated Financial Statement

Reconciliation between audited equity and Audited equity

Particulars	As at 31st March, 2026	As at 31st March, 2025	As at 31st March, 2024
A:Total Equity (as per Audited Consolidated Financial Statements and Special Purpose Ind AS Financial Statement)	1,041.63	700.71	388.81
B:Adjustments:			
Prior year Error/Other Adjustments	-	-	-
Short Provision of Tax	-	-	-
Total Impact of Adjustments(B)	-	-	-
Total Equity as per Audited consolidated Statement (A+B)	1,041.63	700.71	388.81

Reconciliation between audited net profit after tax and Audited net profit after tax

Particulars	For the Year Ended 31st March, 2026	For the Year Ended 31st March, 2025	For the Year Ended 31st March, 2024
Net profit after tax (as per Audited Consolidated Financial Statements and Special Purpose Ind AS Financial Statement)	340.92	185.89	130.38
Prior year Error/Other Adjustments	-	-	-
Short Provision of Tax	-	-	-
Net profit after tax as per Audited consolidated Statement	340.92	185.89	130.38

1. Adjustments for audit qualification:

There are no audit qualification in auditor's report of the company for the financial year ended 31 March 2026, 31 March 2025 and 31 March 2024 , nor there are any other observations which require any other adjustments in the Audited Consolidated Financial Statements



SONASELECTION INDIA LIMITED

(CIN : U17299RJ2022PLC079631)

Registered Office: 18Th K M Stone, Chittorgarh Road, Hamirgarh, Bhilwara, Bhilwara, Rajasthan, India, 311025

Annexure - VI :Statement of Adjustments to the Audited Consolidated Financial Statements as at and for the year 31 March 2026 and Special Purpose Ind AS Financial Statements as at and for the years ended 31 March 2025 and 31 March 2024

(All amounts in ₹ Million, except as otherwise stated)

2. Material regrouping

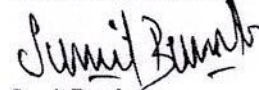
Appropriate regroupings have been made in the Audited Consolidated Statements of Assets and Liabilities, Audited Consolidated Statement of Profit and Loss and Audited Consolidated Statement of Cash Flows, wherever required, by reclassification of the corresponding items of income, expenses, assets, liabilities and cash flows, in order to bring them in line with the accounting policies for the year ended 31 March 2026 prepared in accordance with Schedule III to the Act, requirements of Ind AS 1, 'Presentation of financial statements' and other applicable Ind AS principles and the requirements of the Securities and Exchange Board of India (Issue of Capital & Disclosure Requirements) Regulations, 2018, as amended. However, the impact of such regroupings /reclassification are not material to the Audited Consolidated Financial Statements

3. Material Restatement Adjustments: As Above

4. Non-adjusting Items : None

As per our report of even date attached.

For Pokharna Somani & Associates
Chartered Accountants



Sumit Bumb

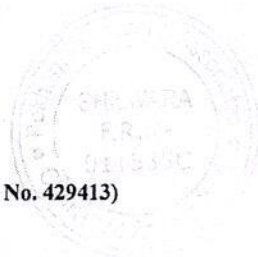
Partner

(Firm Regn No.011535C/Membership No. 429413)

Place: Bhilwara

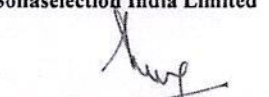
Date : 10.08.2026

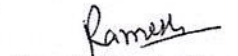
UDIN : 26429413URBSDR3024

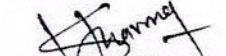


For and on behalf of Board of Directors
Sonaselection India Limited


Harshil Nuwal
Managing Director
DIN: 01474313


Subhash Chandra Nuwal
Director
DIN: 00104154


Ramesh Chandra Vyas
Chief Financial Officer
PAN : AGPPV5302B


Harish Sharma
Company Secretary
PAN : DLYPS9815R

